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Toll Brothers, Inc. (TOL)

MARKET OUTPERFORM
Price: $160.20
Price Target: $175.00

F1Q26 Recap: Early Spring Signals Appear Positive, FY26 Guide Affirmed; Reiterate Our MO Rating

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INVESTMENT HIGHLIGHTS

- **The spring season appears to be trending positively along normal seasonal patterns**. We reiterate our Market Outperform rating on Toll Brothers following the F1Q26 earnings release and call. Per management, traffic (web and foot) has been up since mid-January in line with seasonal norms. The winter weather in late January did not have a measurable impact on operations or demand, per management. Incentives were flat at ~8% of the average home value for the third consecutive quarter. We did not get the sense on the call that incentives would decline anytime soon as competitive pressures on Toll's lower-priced communities apparently have not abated. Lastly, Toll has been raising prices in ~30-40% of its community count. We believe most of the other communities are seeing flat base pricing, with incentives flexing up and down depending on local demand trends.
- **Gross margin improvement expected in F2H26, primarily on geographic mix.** For F2Q26 (Apr.), we are assuming Toll's GAAP gross margin declines 100bps sequentially, to 23.8% versus our prior forecast of 24.5%. Toll expects a higher mix of entry-level product in F2Q, and fewer closings from the Pacific and North segments could pull down the gross margin. For F2H26, we expect a sequential increase in gross margins, to 24.1% in F3Q and 24.6% in F4Q26, as closings from the North and Pacific are anticipated to rise as a percentage of the mix. We believe another potential gross margin catalyst is the incremental higher demand for build-to-order homes (also known as dirt starts) versus spec homes (homes started without a sales contract). Several other builders, including M/I Homes (MHO, MO, $165 PT) and Taylor Morrison (TMHC, MO, $95 PT), discussed a similar rise in dirt start demand on their most recent earnings calls. We estimate the impact varies by builder, but historically, we believe dirt start closings typically have a 300bps higher gross margin versus spec starts.
- **Toll maintained FY26 guidance on all metrics.** We were encouraged to see Toll hold the line on incentives and reiterate its FY26 guidance. F2H26 is carrying more of the gross margin load versus our prior model due to geographic mix tailwinds. We lower our FY26E EPS to $12.83 from $13.08, which reflects the F1Q26 EPS beat versus our estimate. Offsetting that improvement is our more cautious FY26 gross margin outlook discussed above. For FY27, we reduce our EPS estimate to $14.00 from $15.88 and maintain our $11.1 billion total revenue estimate. We are concerned that incentive levels, ~8% per home, discussed on the F1Q26 call may be around for longer than we expected due to an over supply of entry-level homes in Texas and the Southeast U.S. Entry-level homes were ~25% of Toll's sales mix in F1Q26, but we anticipate the incentives on entry-level homes may be above the 8% average in many cases. As a result, we trim our FY27 gross margin estimate, to 24.3% from 25.9%, which is the main catalyst for our lower EPS forecast.
- **Valuation.** Our $175 PT is based on a 1.7x multiple (unchanged) on our FY26E tangible book value of $102.64, which is within our 1.0x to 2.0x price/TBV valuation ratio for the homebuilders. At current levels, TOL trades at 1.6x our FY26E TBV/share of $102.64, versus the group average at 1.2x. Toll trades at a premium to comps, which we justify based on the company's focus on move-up and luxury buyers, which have recently had better demand trends versus other sectors of the market.

MARKET DATA

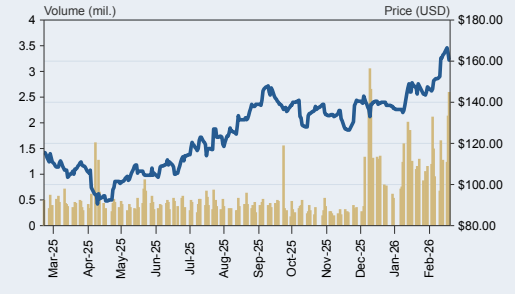
Price:	$160.20
52-Week Range:	$86.67 - $168.36
Shares Out. (M):	97.5
Market Cap ($M):	$15,619.5
Dividend:	$1.00
Dividend Yield:	0.62%

Source: Company reports and Citizens JMP Securities, LLC

FY OCT		2025A	2026E	2027E
Revenue ($M)	1Q	$1,859.1	$2,145.6A	$1,893.0
	2Q	$2,739.1	$2,400.9	$2,456.5
	3Q	$2,945.1	$2,778.6	$2,917.1
	4Q	$3,423.4	$3,360.6	$3,794.8
	FY	$10,966.7	$10,685.8	$11,061.5
EPS	1Q	$1.75	$2.19A	$1.67
	2Q	$3.50	$2.72	$2.88
	3Q	$3.73	$3.44	$3.89
	4Q	$4.58	$4.53	$5.65
	FY	$13.49	$12.83	$14.00
	P/E	11.9x	12.5x	11.4x
Previous	FY	NC	$13.08	$15.88

Source: Company reports and Citizens JMP Securities, LLC

STOCK PRICE PERFORMANCE



FOR DISCLOSURE AND FOOTNOTE INFORMATION, REFER TO THE FACTS AND DISCLOSURES SECTION.
This report should be read in conjunction with important disclosure information, including an attestation under Regulation Analyst certification.

TOLL BROTHERS F1Q26 RESULTS GRID AND FINANCIAL GUIDANCE

Toll Brothers provided F1Q26 guidance in the F4Q25 EPS release

- 1.8k to 1.9k closings
- $985k to $995k average delivered price
- 26.25% adjusted gross margin
- SG&A/sales ratio of 14.2%
- $70 million pretax in other income

Source: Company filings

FIGURE 1. Toll Brothers Provided F2Q26 and FY26 Guidance in the F1Q26 EPS Release

Second Quarter and FY 2026 Financial Guidance:

	Second Quarter	Full Fiscal Year
Deliveries	2,400 - 2,500 units	10,300 - 10,700 units
Average Delivered Price per Home	$975,000 - $985,000	$970,000 - $990,000
Adjusted Home Sales Gross Margin	25.50 %	26.00 %
SG&A, as a Percentage of Home Sales Revenues	10.7 %	10.25 %
Period-End Community Count	455	480 - 490
Other Income, Income from Unconsolidated Entities, and Gross Margin from Land Sales and Other	$— million	$130 million
Tax Rate	26.0 %	25.5 %

Source: Toll Brothers F1Q26 EPS release dated 02/17/26

FIGURE 2. TOL F1Q26 Results

	F1Q25A	F1Q26A	Citizens F1Q26E	Consensus F1Q26E	Actual vs last year	Citizens vs Last Year	Consensus vs Last Year
Total Revenue (in millions)	1,859.1	2,145.6	1,841.7	1,854.0	15.4%	-0.9%	-0.3%
Average Selling Price ($)	924,548	976,900	990,813	989,380	5.7%	7.2%	7.0%
EPS ($)	1.75	2.19	2.02	2.11	25.1%	15.4%	20.6%
HB Gross Margin, GAAP	25.0%	24.8%	24.7%	25.8%	NM	NM	NM
HB SG&A Margin %	13.1%	13.9%	10.5%	N/A	NM	NM	NM
Closings (units)	1,991	1,899	1,859	1,863	-4.6%	-6.6%	-6.4%
Orders (units)	2,307	2,303	2,584	2,422	-0.2%	12.0%	5.0%
Backlog (units)	6,312	5,051	5,372	5,169	-20.0%	-14.9%	-18.1%
Average Backlog Price ($)	1,099,493	1,192,300	1,110,232	1,115,720	8.4%	1.0%	1.5%
Absorption Rate, orders	1.9	1.8	1.9	N/A	-6.7%	0.3%	NM

Source: Citizens JMP Securities, LLC estimates, FactSet, Company filings

FIGURE 3. Toll Brothers Assumptions

Toll Brothers (TOL)											
ASSUMPTIONS	**F1Q25**	**F2Q25**	**F3Q25**	**F4Q25**	**FY25**	**F1Q26**	**F2Q26E**	**F3Q26E**	**F4Q26E**	**FY26E**	**FY27E**
Average delivered price	924,548	933,770	973,505	991,577	960,167	976,900	980,071	979,868	980,116	979,450	1,016,541
YoY change in average delivered pric	-7.8%	-6.9%	0.5%	4.4%	-1.7%	5.7%	5.0%	0.7%	-1.2%	2.0%	3.8%
Total deliveries	1,991	2,899	2,959	3,443	11,292	1,899	2,450	2,836	3,429	10,613	10,881
YoY change in total deliveries	3.3%	9.8%	5.2%	0.3%	4.4%	-4.6%	-15.5%	-4.2%	-0.4%	-6.0%	2.5%
Total orders	2,307	2,650	2,388	2,598	9,943	2,303	2,650	2,627	2,598	10,178	10,990
YoY change in total orders	13.0%	-12.9%	-4.1%	-2.3%	-2.8%	-0.2%	0.0%	10.0%	0.0%	2.4%	8.0%
Total backlogs	6,312	6,063	5,492	4,647	4,647	5,051	5,251	5,042	4,212	4,212	4,320
YoY change in total backlogs	-5.7%	-14.5%	-18.9%	-22.5%	-22.5%	-20.0%	-13.4%	-8.2%	-9.4%	-9.4%	2.6%
Average backlog price	1,099,240	1,128,100	1,161,000	1,182,354	1,182,354	1,192,300	1,139,381	1,166,805	1,195,360	1,195,360	1,207,314
Y/Y chg in the average backlog price	3.9%	8.5%	11.2%	9.6%	9.6%	8.5%	1.0%	0.5%	1.1%	1.1%	1.0%
Absorption rate (quarter & annual)	33.2%	45.9%	48.8%	62.7%	254.9%	40.9%	48.5%	54.0%	68.0%	360.3%	435.7%
Housing GAAP gross margin	25.0%	26.0%	25.6%	25.5%	25.6%	24.8%	23.8%	24.1%	24.6%	24.3%	24.5%
Housing SG&A	13.1%	9.5%	8.8%	8.3%	9.5%	13.9%	10.7%	9.7%	8.2%	10.2%	9.8%
Homebuilding operating income %	11.8%	16.4%	16.6%	16.5%	15.7%	10.2%	13.1%	14.4%	16.4%	13.9%	14.7%
Tax rate	19.7%	26.2%	26.0%	24.7%	24.8%	22.9%	26.0%	26.0%	25.4%	25.3%	26.0%
Communities @EOQ	406	421	420	446	446	445	458	477	486	486	506
YoY community growth	7.7%	9.1%	4.0%	9.3%	9.3%	9.6%	8.9%	13.5%	9.0%	9.0%	4.1%
Deliveries/community	4.9	6.9	7.0	7.7	25.3	4.3	5.3	5.9	7.1	21.8	21.5
Orders/community	5.7	6.3	5.7	5.8	22.3	5.2	5.8	5.5	5.3	20.9	21.7
Monthly orders/community	1.9	2.1	1.9	1.9	1.9	1.7	1.9	1.8	1.8	1.7	1.8
Backlog/community	15.5	14.4	13.1	10.4	10.4	11.4	11.5	10.6	8.7	8.7	8.5

Source: Citizens JMP Securities, LLC estimates, Company filings

FIGURE 4. Toll Brothers Income Statement

Toll Brothers (TOL), FY ends in October
Income statement, amts in millions of $ except per share data

	F1Q25	F2Q25	F3Q25	F4Q25	FY25	F1Q26	F2Q26E	F3Q26E	F4Q26E	FY26E	FY27E
Total revenue	1,859.1	2,739.1	2,945.1	3,423.4	10,966.7	2,145.6	2,400.9	2,778.6	3,360.6	10,685.8	11,061.5
SF/City Living COGS	1,381.5	2,002.2	2,142.8	2,543.3	8,069.7	1,395.5	1,829.5	2,109.0	2,535.6	7,869.5	8,354.9
Land sales COGS	18.1	31.4	61.0	32.3	142.7	273.2	0.0	0.0	0.0	273.2	0.0
Impairments, pretax	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Total COGS	1,399.6	2,033.6	2,203.7	2,575.5	8,212.5	1,668.6	1,829.5	2,109.0	2,535.6	8,142.7	8,354.9
Housing gross profit	459.3	704.2	738.2	870.7	2,772.5	459.5	571.4	669.6	825.0	2,525.6	2,706.6
Land sales gross profit	0.2	1.2	3.2	(22.9)	(18.2)	17.5	0.0	0.0	0.0	17.5	0.0
SG&A	240.4	255.8	253.7	283.8	1,033.6	257.9	256.9	269.5	275.6	1,059.9	1,084.3
Goodwill impairment	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Total operating income	219.1	449.7	487.7	564.1	1,720.6	219.1	314.5	400.1	549.5	1,483.2	1,622.3
Equity earnings/(loss) from JVs	(8.7)	11.5	(1.0)	17.3	19.1	35.4	26.4	25.0	6.7	93.6	33.7
Interest and other income/(expense)	11.0	16.3	12.8	11.6	51.7	19.1	9.6	11.1	6.7	46.5	35.0
Early debt retirement income/(exper	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Pretax earnings	221.4	477.5	499.5	593.0	1,791.4	273.6	350.5	436.2	562.9	1,623.3	1,691.0
Provision for income taxes	43.7	125.1	129.9	146.3	444.9	62.6	91.1	113.4	143.0	410.2	439.7
Continuing net income	177.7	352.4	369.6	446.7	1,346.5	210.9	259.4	322.8	419.9	1,213.1	1,251.4
GAAP net income	177.7	352.4	369.6	446.7	1,346.5	210.9	259.4	322.8	419.9	1,213.1	1,251.4
Diluted EPS, as reported	1.75	3.50	3.73	4.58	13.49	2.19	2.72	3.44	4.53	12.83	14.00
Discontinued operations	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
GAAP EPS, diluted	1.75	3.50	3.73	4.58	13.49	2.19	2.72	3.44	4.53	12.83	14.00
Diluted shares	101.8	100.6	99.2	97.5	99.8	96.5	95.2	93.9	92.6	94.6	89.4
Basic shares	100.8	99.9	98.4	96.8	99.0	95.7	94.4	93.1	91.8	91.8	86.6

Source: Citizens JMP Securities, LLC estimates, Company filings

FIGURE 5. Toll Brothers Balance Sheet

Toll Brothers (TOL), FY ends in October, amts in millions of $											
Balance sheet	**F1Q25**	**F2Q25**	**F3Q25**	**F4Q25**	**FY25**	**F1Q26**	**F2Q26E**	**F3Q26E**	**F4Q26E**	**FY26E**	**FY27E**
ASSETS											
Homebuilding:											
Cash	574.8	686.5	852.3	1,259.0	1,259.0	1,202.8	1,054.7	1,415.7	1,580.0	1,580.0	2,861.9
Total inventories	10,677.5	10,994.9	11,071.5	10,678.5	10,678.5	11,203.5	11,259.5	11,315.8	11,372.4	11,372.4	11,601.6
Receivables, net	595.7	583.4	602.6	554.7	554.7	541.2	641.8	662.9	599.1	599.1	647.0
Current assets	11,848.0	12,264.8	12,526.5	12,492.2	12,492.2	12,947.6	12,956.0	13,394.4	13,551.6	13,551.6	15,110.5
PP&E, net	455.2	450.0	448.8	273.4	273.4	276.7	276.7	276.7	276.7	276.7	276.7
Contracts receivable	0.0	0.0	0.0	421.0	421.0	0.0	0.0	0.0	413.3	413.3	466.6
Mortgage loans receivable	99.6	195.7	185.1	200.8	200.8	130.3	215.2	203.6	216.9	216.9	234.2
Customer deposits	112.7	113.1	114.0	106.6	106.6	121.0	100.3	109.9	104.9	104.9	118.5
Investments in unconsolidated entiti	1,106.6	1,172.3	1,122.4	1,025.9	1,025.9	956.5	956.5	956.5	956.5	956.5	956.5
Total assets	13,622.1	14,195.8	14,396.8	14,519.9	14,519.9	14,432.0	14,504.7	14,941.1	15,519.8	15,519.8	17,163.0
LIABILITIES & STOCKHOLDER'S EQUITY											
Accounts payable	650.7	666.5	619.6	615.8	615.8	536.1	609.0	609.9	613.9	613.9	689.1
Current liabilities	650.7	666.5	619.6	615.8	615.8	536.1	609.0	609.9	613.9	613.9	689.1
Accrued expenses	1,830.7	2,088.6	2,082.4	2,234.1	2,234.1	2,145.1	1,878.9	1,992.8	2,199.5	2,199.5	2,468.8
Customer deposits	518.2	515.0	483.9	418.9	418.9	456.1	463.3	463.1	412.4	412.4	462.9
Income taxes payable	65.0	161.1	157.2	177.1	177.1	153.5	153.5	153.5	153.5	153.5	153.5
Senior notes and other debts payable	2,746.0	2,800.3	2,942.5	2,787.9	2,787.9	2,721.3	2,720.7	2,719.7	2,718.5	2,718.5	2,715.3
Credit facility draw	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Total liabilities	5,810.6	6,231.4	6,285.6	6,233.802	6,233.8	6,012.1	5,825.4	5,939.0	6,097.7	6,097.7	6,489.6
Stockholder's Equity											
Total stockholder's equity	7,811.5	7,964.4	8,111.2	8,286.1	8,286.1	8,419.9	8,679.3	9,002.1	9,422.1	9,422.1	10,673.4
per share equity	77.5	79.73	82.40	85.64	83.72	88.0	91.94	96.69	102.64	102.64	123.25
Total liabilities and stockholder's equ	13,622.1	14,195.8	14,396.8	14,519.9	14,519.9	14,432.0	14,504.7	14,941.1	15,519.8	15,519.8	17,163.0

Source: Citizens JMP Securities, LLC estimates, Company filings

Homebuilder Comp Sheet, Coverage Names In Bold

Ticker	Closing price as of 2/19/26 ($)	Price target ($)	Rating	Net debt/net cap, %	Mkt Cap, millions of $	EPS FY25E ($)	P/E FY25E (x)	EPS FY26E ($)	PE FY26E (x)	TBV FY25E ($)	P/TBV FY25E (x)	TBV FY26E ($)	P/TBV FY26E (x)
BZH	27.73	NR	NR	N/A	818.2	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
CCS	**73.23**	**92**	**MO**	**36.6**	**2,127.4**	**4.86**	**15.1**	**4.18**	**17.5**	**87.39**	**0.8**	**91.63**	**0.8**
DFH	**20.86**	**N/A**	**MP**	**49.4**	**1,934.9**	**2.07**	**10.1**	**1.68**	**12.4**	**11.55**	**1.8**	**13.38**	**1.6**
DHI	**167.25**	**N/A**	**MP**	**10.6**	**48,452.8**	**11.57**	**14.5**	**11.18**	**15.0**	**95.11**	**1.8**	**105.05**	**1.6**
GRBK	**79.35**	**N/A**	**MP**	**9.8**	**3,456.9**	**7.14**	**11.1**	**7.35**	**10.8**	**42.42**	**1.9**	**49.55**	**1.6**
HOV	131.25	NR	NR	N/A	779.4	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
LEN	**121.26**	**N/A**	**MP**	**3.8**	**29,949.6**	**7.98**	**15.2**	**7.12**	**17.0**	**77.72**	**1.6**	**85.99**	**1.4**
LGIH	**54.62**	**93**	**MO**	**44.8**	**1,260.6**	**3.12**	**17.5**	**2.74**	**20.0**	**89.45**	**0.6**	**92.60**	**0.6**
MHO	**144.10**	**165**	**MO**	**5.8**	**3,713.1**	**15.77**	**9.1**	**14.00**	**10.3**	**121.00**	**1.2**	**133.38**	**1.1**
MTH	**79.00**	**90**	**MO**	**17.2**	**5,277.3**	**6.35**	**12.4**	**5.38**	**14.7**	**75.02**	**1.1**	**80.18**	**1.0**
NVR	7,523.12	NR	NR	N/A	21,017.8	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
PHM	**142.10**	**145**	**MO**	**4.1**	**27,303.4**	**11.40**	**12.5**	**10.14**	**14.0**	**65.94**	**2.2**	**71.00**	**2.0**
SDHC	17.90	NR	NR	N/A	161.4	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
TMHC	**67.43**	**95**	**MO**	**21.2**	**6,589.6**	**7.66**	**8.8**	**5.43**	**12.4**	**57.38**	**1.2**	**80.18**	**0.8**
TOL	**160.00**	**175**	**MO**	**15.6**	**15,160.0**	**13.49**	**11.9**	**12.83**	**12.5**	**83.72**	**1.9**	**102.64**	**1.6**
TPH	**46.34**	**46**	**MO**	**10.5**	**3,914.8**	**2.80**	**16.5**	**2.25**	**20.6**	**36.45**	**1.3**	**38.83**	**1.2**
Averages, ex NVR for P/TBV averages				**19.1**			**12.7**		**14.8**		**1.4**		**1.2**

Source: Citizens estimates, Factset, Company filings

COMPANY DESCRIPTION

Toll Brothers, Inc., a Fortune 500 company, is the nation's leading builder of luxury homes. The company was founded 58 years ago in 1967 and became a public company in 1986. Its common stock is listed on the New York Stock Exchange under the symbol “TOL.” The company serves first-time, move-up, empty-nester, active-adult, and second-home buyers, as well as urban and suburban renters.
(source: Company website)

INVESTMENT RISKS

Risks to our thesis. We think Toll has the same macroeconomic risks, jobs, consumer confidence, etc., as other public builders. Additionally, we think the lock-in effect of buyers not wanting to give up their current sub-6% mortgage for a higher rate may be more of a pressure point for Toll’s move-up buyers. We estimate the average non-first-time Toll buyer is making more of a discretionary purchase than the needs-based moves for growing families, schools, etc. that drive first-time buyers. If high-end consumer confidence fades, it could be a headwind for TOL. We also think the average move-up/active adult Toll buyer is a wealth-driven, mostly by stock market gains, buyer. Consequently, a prolonged sell-off in the U.S. stock market could be a risk to Toll’s demand.

Facts and Disclosures

Analyst Certification:

The research analyst(s) who prepared this report does/do hereby certify that the views presented in this report are in accordance with my/our personal views on the securities and issuers discussed in this report. As mandated by SEC Regulation AC no part of my/our compensation was, is or will be directly or indirectly related to the specific views or recommendations expressed herein. This certification is made under the obligations set forth in SEC Regulation AC. Any other person or entity may not use it for any other purpose. This certification is made based on my/our analysis on the date of this report's publication. I/We assume no obligation to update this certification to reflect any facts, circumstances, or events that may subsequently come to my/our attention. Signed James McCanless III

Disclosures:

Citizens JMP Securities, LLC currently makes a market in the securities of Toll Brothers, Inc., M/I Homes, Inc. and Taylor Morrison Home Corporation

Citizens JMP Securities, LLC, was manager or co-manager of a public offering of securities for Toll Brothers, Inc. (TOL) in the past 12 months and received compensation for doing so.

Citizens JMP Securities, LLC. expects to receive OR intends to seek compensation for investment banking services from Toll Brothers, Inc., M/I Homes, Inc. and Taylor Morrison Home Corporation in the next three months.

Citizens JMP Securities, LLC, or its affiliates have received compensation from Toll Brothers, Inc. and M/I Homes, Inc. for products or services other than investment banking services in the previous 12 months.

For disclaimer details, please click on link. Citizens JMP Securities, LLC Disclaimer

For applicable disclosures on companies mentioned in this report, please refer to the Citizens JMP Securities, LLC Facts and Disclosures page in the report link above.

Citizens JMP Securities, LLC Investment Opinion Definitions:

Market Outperform (MO): Citizens JMP Securities, LLC expects the stock price to outperform the Russell 3000® Index over the next 12 months.

Market Perform (MP): Citizens JMP Securities, LLC expects the stock price to perform in line with the Russell 3000® Index over the next 12 months.

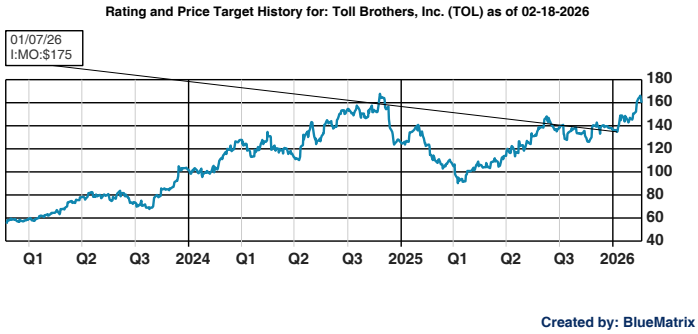
Market Underperform (MU): Citizens JMP Securities, LLC expects the stock price to underperform the Russell 3000® Index over the next 12 months.

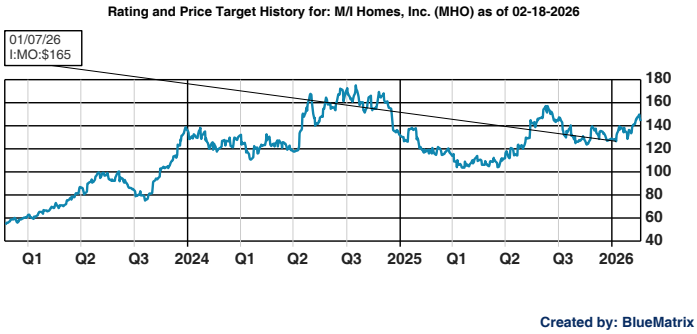
Research Ratings and Investment Banking Services: (as of February 19, 2026)

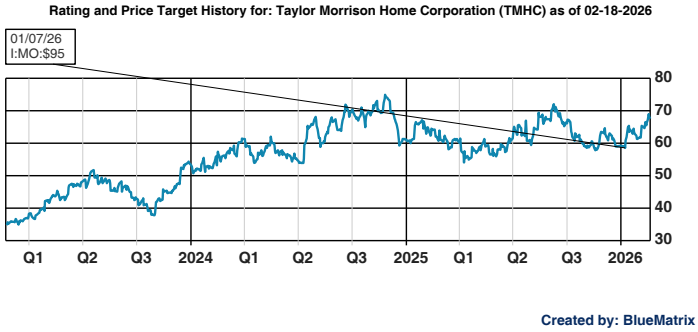
Citizens Capital Markets & Advisory Ratings	Regulatory Equivalent	# Co's Under Coverage	*% of Total*	Regulatory Equivalent	# Co's Under Coverage	*% of Total*	# Co's Receiving IB Services in Past 12 Months	*% of Co's With This Rating*
MARKET OUTPERFORM	Buy	325	*68.86%*	Buy	325	*68.86%*	72	*22.15%*
MARKET PERFORM	Hold	142	*30.08%*	Hold	142	*30.08%*	24	*16.90%*
MARKET UNDERPERFORM	Sell	3	*0.64%*	Sell	3	*0.64%*	0	*0%*
COVERAGE IN TRANSITION		1	*0.21%*		1	*0.21%*	0	*0%*
RATING SUSPENDED		0	*0.00%*		0	*0.00%*	0	*0%*
TOTAL:		472	*100%*		472	*100%*	96	*20.34%*

Stock Price Chart of Rating and Target Price Changes:

Note: First annotation denotes initiation of coverage or 3 years, whichever is shorter. If no target price is listed, then the target price is N/A. In accordance with FINRA Rule 2241, the chart(s) below reflect(s) price range and any changes to the rating or price target as of the end of the most recent calendar quarter. The action reflected in this note is not annotated in the stock price chart. Source: Citizens JMP Securities, LLC.







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OPPENHEIMER

EQUITY RESEARCH

MODEL UPDATE

February 19, 2026

INDUSTRIAL/CAPITAL GOODS/HOMEBUILDERS

Stock Rating:

OUTPERFORM

12-18 mo. Price Target	$180.00
TOL - NYSE	$160.00
3-5 Yr. EPS Gr. Rate	11%
52-Wk Range	$168.36-$86.67
Shares Outstanding	96.5M
Float	95.5M
Market Capitalization	$15,160.0M
Avg. Daily Trading Volume	1,277,394
Dividend/Div Yield	$1.00/0.63%
Book Value	$87.20
Fiscal Year Ends	Oct
2026E ROE	14.0%
LT Debt	$2,721.3M
Preferred	$0.0M
Common Equity	$8,420M
Convertible Available	No

EPS Diluted	Q1	Q2	Q3	Q4	Year	Mult.
2024A	2.25	4.55	3.60	4.63	15.01	10.7x
2025A	1.75	3.50	3.73	4.58	13.49	11.9x
2026E	2.19A	2.53	3.35	4.59	12.65	12.6x
Prior (E)	*2.06*	*2.85*	*3.39*	*4.35*	—	—

Toll Brothers, Inc.

Model Update

SUMMARY

Updating our model to reflect Q1 earnings and updated guidance. We continue to think TOL is well positioned given its high-income buyer and could benefit more than other builders if mortgage rates fall below 6%. We also think it's possible our FY26 estimates are conservative and see bull case EPS of $18.34 (note here) if the sales pace normalizes to 2.25. These factors support a premium valuation multiple, in our view.

We reiterate our Outperform rating and $180 PT (prior $177).

KEY POINTS

- **FY26E EPS is $12.65 (unchanged):** We model 10,495 closings (down 7% YoY) supported by 10,009 homes in process as of 1/31, order pace down LSD YoY in FY27 and community count up 9%. Our gross margin forecast remains 26% and our SG&A percentage estimate of 10.3% is unchanged. It's possible our forecasts end up conservative once FY26 is finished if the demand backdrop improves.
- **PT is at $180:** This PT represents a 14.25x multiple on our FY26 EPS estimate and a 1.9x P/B multiple. We continue to believe TOL is best positioned to navigate the current environment and think these multiples are valid given its mid-teens FY26E ROE. Using a 12x multiple on this bull case EPS could yield a share price near $220.

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Disseminated: February 19, 2026 06:00 EST; Produced: February 18, 2026 20:59 EST

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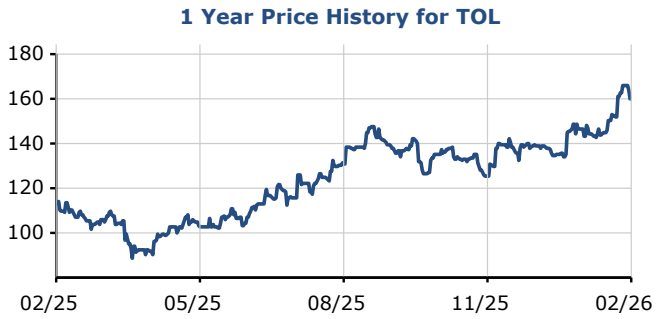
For analyst certification and important disclosures, see the Disclosure Appendix.

noel@fullertonlp.com Noel Smith 05/01/26 04:44:04 PM Fullerton Capital Partners LP

Stock Price Performance



INVESTMENT THESIS

We have an Outperform rating on TOL. We think the company should get credit for having the best leverage profile in its history and for programmatic share repurchases. We also think TOL is well positioned compared with other builders given its product type and core customer.

BASE CASE ASSUMPTION

- Orders up 6% in FY26
- Closings down 7% in FY26
- Revenue down 3% in FY26
- Adjusted gross margin of 26% in FY26
- EPS down 6% YoY in FY26

CATALYSTS

- Lower mortgage rates
- Improvements to material costs and supply chain
- Meaningful step-up in share repurchase guidance

UPSIDE SCENARIO

- Lower mortgage rates reinvigorate demand for homes and allow the company to grow price and volume
- Improvements to cycle times enhances returns
- Lower material and labor costs contributes to gross margin upside

DOWNSIDE SCENARIO

- Higher mortgage rates and uncertain economic environment negatively impact demand for its homes
- Declining profitability could result in land impairments

PRICE TARGET CALCULATION

Our PT is $180. This represents a 14.25x multiple on our FY26 EPS estimate and a 1.9x multiple on our FY26 BVPS estimate. This multiple is above the 10-year average (10.5x). We think this is appropriate given the strategic shift toward selling more spec homes and a gross margin elevated compared with history.

KEY RISKS TO PRICE TARGET

Perceivable risks include: (1) Higher mortgage rates could negatively impact housing demand. (2) Weaker economic environment could also negatively impact demand. (3) Material and labor costs could increase, contributing to weaker margins. (4) Land purchased at high prices might also weigh on margin performance. (5) Extended cycle times could result in slower inventory turnover rates and pressure returns. (6) Significant leg lower in industry fundamentals could result in land impairments. (7) Negative sentiment toward homebuilders broadly could impact TOL.

COMPANY DESCRIPTION

TOL designs, constructs, and sells both single-family homes and apartments. The company was founded in May 1967.

noel@fullertonlp.com Noel Smith 05/01/26 04:44:04 PM Fullerton Capital Partners Lp

	2023	1Q24	2Q24	3Q24	4Q24	2024	1Q25	2Q25	3Q25	4Q25	2025	1Q26	2Q26E	3Q26E	4Q26E	2026E
Revenue:																
Home sales	9,866.0	1,931.8	2,647.0	2,724.5	3,260.0	10,563.3	1,840.8	2,706.5	2,881.0	3,414.0	10,842.2	1,855.0	2,401.4	2,671.2	3,373.6	10,301.2
YoY % change	1.6%	10.4%	6.3%	1.9%	10.4%	7.1%	(4.7%)	2.2%	5.7%	4.7%	2.6%	0.8%	(11.3%)	(7.3%)	(1.2%)	(5.0%)
YoY absolute change	155	182	157	50	308	697	(91)	59	157	154	279	14	(305)	(210)	(40)	(541)
Land sales and other	128.9	16.0	190.5	3.5	73.5	283.4	18.4	32.6	64.1	9.4	124.5	290.6	20.0	20.0	20.0	350.6
YoY % change	(77.2%)	(47.9%)	1028.3%	(73.4%)	7.6%	119.8%	14.6%	(82.9%)	1747.4%	(87.2%)	(56.1%)	1483.4%	(38.7%)	(68.8%)	112.8%	181.6%
Total revenue	**9,994.9**	**1,947.8**	**2,837.5**	**2,727.9**	**3,333.5**	**10,846.7**	**1,859.1**	**2,739.1**	**2,945.1**	**3,423.4**	**10,966.7**	**2,145.6**	**2,421.4**	**2,691.2**	**3,393.6**	**10,651.9**
YoY % change	(2.7%)	9.4%	13.2%	1.5%	10.4%	8.5%	(4.6%)	(3.5%)	8.0%	2.7%	1.1%	15.4%	(11.6%)	(8.6%)	(0.9%)	(2.9%)
Cost of revenues:																
Home sales	7,207.3	1,399.2	1,963.3	1,977.2	2,413.7	7,753.4	1,381.5	2,002.2	2,142.8	2,543.3	8,069.7	1,395.5	1,820.9	2,017.5	2,537.9	7,771.8
YoY % change	(0.4%)	7.6%	7.1%	2.3%	12.7%	7.6%	(1.3%)	2.0%	8.4%	5.4%	4.1%	1.0%	(9.1%)	(5.8%)	(0.2%)	(3.7%)
as a % of home sales revenue	73.1%	72.4%	74.2%	72.6%	74.0%	73.4%	75.0%	74.0%	74.4%	74.5%	74.4%	75.2%	75.8%	75.5%	75.2%	75.4%
Home sales gross profit	**2,658.7**	**532.6**	**683.7**	**747.3**	**846.3**	**2,810.0**	**459.3**	**704.2**	**738.2**	**870.7**	**2,772.5**	**459.5**	**580.5**	**653.7**	**835.7**	**2,529.4**
YoY % change	7.5%	18.8%	4.0%	0.6%	4.4%	5.7%	(13.8%)	3.0%	(1.2%)	2.9%	(1.3%)	0.0%	(17.6%)	(11.4%)	(4.0%)	(8.8%)
Margin	26.9%	27.6%	25.8%	27.4%	26.0%	26.6%	25.0%	26.0%	25.6%	25.5%	25.6%	24.8%	24.2%	24.5%	24.8%	24.6%
Add: interest recognized in cost of sales	139.4	23.6	34.7	32.8	37.8	129.0	20.1	30.3	30.2	37.5	118.1	20.1	26.0	28.9	36.5	111.5
Inventory write-downs	30.7	1.5	28.4	5.5	24.1	59.4	16.4	9.8	23.3	16.4	65.9	11.7	5.0	5.0	5.0	26.7
Adjusted home sales gross profit	**2,828.9**	**557.7**	**746.9**	**785.6**	**908.2**	**2,998.4**	**495.8**	**744.3**	**791.7**	**924.6**	**2,956.5**	**491.3**	**611.5**	**687.6**	**877.2**	**2,667.6**
YoY % change	5.9%	15.8%	5.8%	0.3%	5.8%	6.0%	(11.1%)	(0.3%)	0.8%	1.8%	(1.4%)	(0.9%)	(17.9%)	(13.1%)	(5.1%)	(9.8%)
Margin	28.7%	28.9%	28.2%	28.8%	27.9%	28.4%	26.9%	27.5%	27.5%	27.1%	27.3%	26.5%	25.5%	25.7%	26.0%	25.9%
Land sales and other	153.5	10.2	13.0	8.8	39.0	70.9	18.1	31.4	61.0	32.3	142.7	273.2	18.4	18.4	18.4	328.4
as a % of land lot sales and other	119.0%	63.5%	6.8%	252.8%	53.1%	25.0%	98.6%	96.3%	95.0%	343.2%	114.6%	94.0%	92.0%	92.0%	92.0%	93.6%
Land sales and other gross profit	(24.5)	5.9	177.5	(5.3)	34.5	212.5	0.2	1.2	3.2	(22.9)	(18.2)	17.5	1.6	1.6	1.6	22.3
Land sales and other gross margin	(19.0%)	36.5%	93.2%	(152.8%)	46.9%	75.0%	1.4%	3.7%	5.0%	(243.2%)	(14.6%)	6.0%	8.0%	8.0%	8.0%	6.4%
Selling, general and administrative expenses	909.4	230.0	237.7	244.8	269.7	982.3	240.4	255.8	253.7	283.8	1,033.6	257.9	255.7	256.6	290.5	1,060.8
YoY % change	(7.0%)	8.8%	4.5%	6.9%	11.7%	8.0%	4.5%	7.6%	3.6%	5.2%	5.2%	7.3%	(0.0%)	1.1%	2.4%	2.6%
as a % of home sales	9.2%	11.9%	9.0%	9.0%	8.3%	9.3%	13.1%	9.5%	8.8%	8.3%	9.5%	13.9%	10.7%	9.6%	8.6%	10.3%
Income from operations	1,724.8	308.4	623.5	497.2	611.1	2,040.2	219.1	449.7	487.7	564.1	1,720.6	219.1	326.3	398.7	546.8	1,490.9
Margin	17.3%	15.8%	22.0%	18.2%	18.3%	18.8%	11.8%	16.4%	16.6%	16.5%	15.7%	10.2%	13.5%	14.8%	16.1%	14.0%
Other income (loss) from unconsol. entities	50.1	(9.2)	5.9	(10.5)	(10.0)	(23.8)	(8.7)	11.5	(1.0)	17.3	19.1	35.4	0.0	5.0	5.0	45.4
Other income - net	67.5	11.9	20.4	17.0	20.1	69.3	11.0	16.3	12.8	11.6	51.7	19.1	0.0	21.0	21.0	61.1
Other charge	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Income before income taxes	1,842.4	311.2	649.8	503.6	621.1	2,085.6	221.4	477.5	499.5	593.0	1,791.4	273.6	326.3	424.7	572.8	1,597.4
Income tax provision	470.3	71.6	168.2	129.0	145.7	514.4	43.7	125.1	129.9	146.3	444.9	62.6	84.8	110.0	148.3	405.8
Tax rate	25.5%	23.0%	25.9%	25.6%	23.5%	24.7%	19.7%	26.2%	26.0%	24.7%	24.8%	22.9%	26.0%	25.9%	25.9%	25.4%
Net income	**1,372.1**	**239.6**	**481.6**	**374.6**	**475.4**	**1,571.2**	**177.7**	**352.4**	**369.6**	**446.7**	**1,346.5**	**210.9**	**241.5**	**314.7**	**424.4**	**1,191.6**
Other comprehensive income, net of tax	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Total comprehensive income	1,372.1	239.6	481.6	374.6	475.4	1,571.2	177.7	352.4	369.6	446.7	1,346.5	210.9	241.5	314.7	424.4	1,191.6
Diluted earnings	12.36	2.25	4.55	3.60	4.63	15.01	1.75	3.50	3.73	4.58	13.49	2.19	2.53	3.35	4.59	12.65
Diluted shares outstanding	111.0	106.3	105.8	104.0	102.7	104.7	101.8	100.6	99.2	97.5	99.8	96.5	95.3	94.1	92.5	94.2

Source: Company filings, OpCo estimates

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ESG CONSIDERATIONS *

ESG Rating	C+
ESG Rating Environment	C+
ESG Rating Social	C+
ESG Rating Governance	B-

*Environmental/Social/Governance (ESG) scores are courtesy of Refinitiv's ESG product which are designed to transparently and objectively measure a company's relative ESG performance, commitment and effectiveness, based on company-reported data. Refinitiv's ESG ratings are independent of Oppenheimer's stock ratings and are not taken into consideration when assigning a rating. For full details about Refinitiv's ESG scores, please click here

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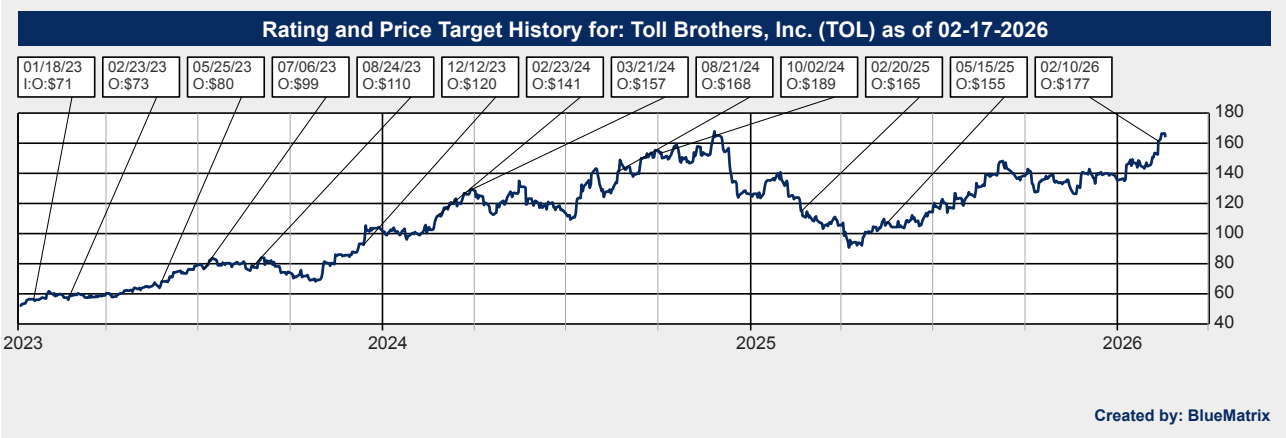

All price targets displayed in the chart above are for a 12- to- 18-month period. For more information about target price histories, please write to Oppenheimer & Co. Inc., 85 Broad Street, New York, NY 10004, Attention: Equity Research Department, Business Manager.

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Distribution of Ratings/IB Services Firmwide

			IB Serv/Past 12 Mos.	
Rating	Count	Percent	Count	Percent
OUTPERFORM [O]	457	66.23	190	41.58
PERFORM [P]	232	33.62	94	40.52
UNDERPERFORM [U]	1	0.14	0	0.00

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Toll Brothers Inc. (TOL)

F1Q26 Recap: Strong Start to F2026 with the Potential for Upside Driven by Demand in the Selling Season

TOL	12m Price Target: **$166.00**	Price: **$160.00**	Upside: **3.8%**

Well-Positioned Ahead of the Spring: Toll's F1Q results and unchanged annual guide reflect its higher-end focus and the ability to better weather current operating headwinds. Our view comes as management noted: 1) efforts to sell specs earlier in the construction process, adding upside to margins, 2) balancing pace vs price with incentives flat in the quarter, and 3) expanding community count to support future growth. The company is also focused on greater efficiencies, supporting upside to profitability over time. In the near-term, we highlight management's cautious optimism heading into the selling season, with an even split of specs and BTO deliveries supporting demand across a range of buyers. We also note 59% of F1Q sales were in the luxury move-up segment, providing greater visibility to future results. Finally, we highlight further steps to exit multi-family development, freeing up cash and resources to support the core single-family operations. This comes as our forecast for $789mn in FCF in F2026 provides ample flexibility to support growth and shareholder returns, including our estimate for $770mn in buybacks this year. Although we are confident in Toll's ability to execute and realize relative outperformance in these conditions, we believe much of this is already reflected in the current valuation.

Cautious Optimism Heading into the Selling Season: Similar to peers, the company noted a sequential improvement in demand, with November being the slowest month and January seeing a seasonal lift vs December that has continued into early February. This comes as web traffic, physical visits to communities, and deposits are all up modestly YOY in the first weeks of 2026, leaving us cautiously optimistic on the selling season. As Toll looks to position, spec production was increased in the quarter leaving it with ample inventory for the coming months. In our view, this combined with improving build times, provides ample flexibility should sales exceed expectations in the coming months. The outlook for community count growth this year was unchanged, with

NEUTRAL

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Key Data

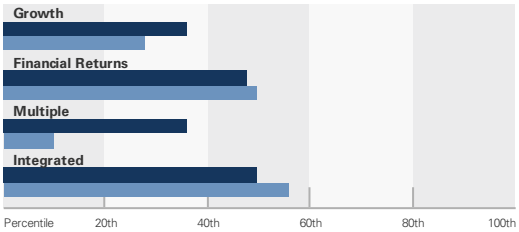
Market cap: $15.4bn
Enterprise value: $17.1bn
3m ADTV: $187.2mn
United States
Americas Homebuilders & Building Products
M&A Rank: 3

GS Forecast

	10/25	10/26E	10/27E	10/28E
Revenue ($ mn) New	**10,966.7**	**10,752.2**	**10,824.7**	**11,305.0**
Revenue ($ mn) Old	10,966.7	10,488.4	11,073.6	11,722.4
EBITDA ($ mn)	2,209.7	1,986.9	1,992.6	2,143.5
EBIT ($ mn)	1,838.7	1,643.7	1,774.8	1,918.7
EPS ($) New	**13.49**	**12.80**	**14.00**	**16.00**
EPS ($) Old	13.49	12.80	15.20	17.15
P/E (X)	9.2	12.5	11.4	10.0
Dividend yield (%)	0.8	0.7	0.7	0.8
Net debt/EBITDA (X)	0.7	0.9	1.0	0.8

	1/26	4/26E	7/26E	10/26E
EPS ($)	2.19	2.60	3.54	4.54

GS Factor Profile



TOL relative to Americas Coverage
TOL relative to Americas Homebuilders & Building Products

Source: Company data, Goldman Sachs Research estimates. See disclosures for details.

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Toll Brothers Inc. (TOL)

Rating since Jun 17, 2024

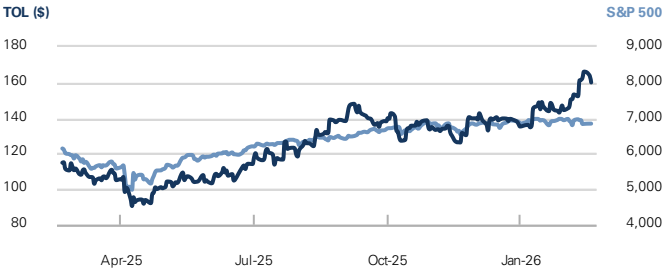
Ratios & Valuation

	10/25	10/26E	10/27E	10/28E
P/E (X)	9.2	12.5	11.4	10.0
EV/EBITDA (X)	6.3	8.5	8.2	7.1
EV/sales (X)	1.3	1.6	1.5	1.3
FCF yield (%)	8.3	5.2	4.4	8.5
EV/DACF (X)	7.9	11.6	11.3	9.8
CROCI (%)	17.3	13.3	12.4	12.9
ROE (%)	16.9	14.3	14.2	14.6
Net debt/EBITDA (X)	0.7	0.9	1.0	0.8
Net debt/equity (%)	18.5	19.6	21.5	17.2
Interest cover (X)	15.6	14.4	15.6	16.3
Inventory days	459.8	497.6	525.3	521.5
Receivable days	26.1	33.3	33.8	33.6
Days payable outstanding	25.0	29.9	31.6	29.6

Growth & Margins (%)

	10/25	10/26E	10/27E	10/28E
Total revenue growth	1.1	(2.0)	0.7	4.4
EBITDA growth	(11.5)	(10.1)	0.3	7.6
EPS growth	(10.1)	(5.1)	9.4	14.3
DPS growth	8.9	8.2	7.5	7.0
Gross margin	26.2	25.2	26.1	26.5
EBIT margin	16.8	15.3	16.4	17.0

Price Performance



	3m	6m	12m
Absolute	26.6%	22.0%	31.1%
Rel. to the S&P 500	22.4%	14.9%	17.4%

Source: FactSet. Price as of 18 Feb 2026 close.

Income Statement ($ mn)

	10/25	10/26E	10/27E	10/28E
Total revenue	10,966.7	10,752.2	10,824.7	11,305.0
Cost of goods sold	(8,094.4)	(8,041.1)	(8,003.5)	(8,311.3)
SG&A	(1,033.6)	(1,067.4)	(1,046.4)	(1,074.9)
R&D	–	–	–	–
Other operating inc./(exp.)	–	–	–	–
EBITDA	**2,209.7**	**1,986.9**	**1,992.6**	**2,143.5**
Depreciation & amortization	(82.1)	(77.5)	(77.9)	(81.3)
EBIT	**1,838.7**	**1,643.7**	**1,774.8**	**1,918.7**
Net interest inc./(exp.)	(118.1)	(113.8)	(113.9)	(117.4)
Income/(loss) from associates	70.8	94.5	26.0	26.0
Pre-tax profit	**1,791.4**	**1,624.5**	**1,687.0**	**1,827.3**
Provision for taxes	(444.9)	(413.9)	(431.3)	(467.2)
Minority interest	–	–	–	–
Preferred dividends	–	–	–	–
Net inc. (pre-exceptionals)	**1,346.5**	**1,210.6**	**1,255.7**	**1,360.1**
Net inc. (post-exceptionals)	**1,346.5**	**1,210.6**	**1,255.7**	**1,360.1**
EPS (basic, pre-except) ($)	**13.49**	**12.80**	**14.00**	**16.00**
EPS (diluted, pre-except) ($)	**13.49**	**12.80**	**14.00**	**16.00**
EPS (ex-ESO exp., dil.) ($)	**--**	**--**	**--**	**--**
DPS ($)	0.98	1.06	1.14	1.22
Div. payout ratio (%)	7.3	8.3	8.1	7.6
Wtd avg shares out. (basic) (mn)	99.8	94.6	89.7	85.0
Wtd avg shares out. (diluted) (mn)	99.8	94.6	89.7	85.0

Balance Sheet ($ mn)

	10/25	10/26E	10/27E	10/28E
Cash & cash equivalents	1,259.0	1,024.1	774.7	559.3
Accounts receivable	975.7	985.3	1,016.9	1,062.6
Inventory	10,678.5	11,245.9	11,791.4	11,957.6
Other current assets	–	–	–	–
Total current assets	**12,913.1**	**13,255.3**	**13,583.1**	**13,579.5**
Net PP&E	273.4	270.4	267.5	261.2
Net intangibles	–	–	–	–
Total investments	1,025.9	956.5	956.5	956.5
Other long-term assets	307.4	338.8	399.3	411.8
Total assets	**14,519.9**	**14,821.0**	**15,206.4**	**15,208.9**
Accounts payable	615.8	702.9	681.8	666.6
Short-term debt	–	–	–	–
Current lease liabilities	–	–	–	–
Other current liabilities	2,234.1	2,145.1	2,145.1	2,145.1
Total current liabilities	**2,849.9**	**2,848.0**	**2,826.9**	**2,811.7**
Long-term debt	2,637.9	2,600.2	2,600.2	2,089.3
Non-current lease liabilities	–	–	–	–
Other long-term liabilities	746.0	730.7	730.7	730.7
Total long-term liabilities	**3,383.9**	**3,330.9**	**3,330.9**	**2,820.0**
Total liabilities	**6,233.8**	**6,178.9**	**6,157.8**	**5,631.7**
Preferred shares	–	–	–	–
Total common equity	**8,270.7**	**8,631.3**	**9,037.7**	**9,566.4**
Minority interest	15.4	10.8	10.8	10.8
Total liabilities & equity	**14,519.9**	**14,821.0**	**15,206.4**	**15,208.9**
BVPS ($)	83.04	91.38	100.88	112.68

Cash Flow ($ mn)

	10/25	10/26E	10/27E	10/28E
Net income	1,346.5	1,210.6	1,255.7	1,360.1
D&A add-back	82.1	77.5	77.9	81.3
Minority interest add-back	–	–	–	–
Net (inc)/dec working capital	(576.9)	(507.0)	(658.7)	(239.5)
Others	260.7	82.4	25.0	25.0
Cash flow from operations	**1,112.4**	**863.6**	**699.8**	**1,227.0**
Capital expenditures	(86.2)	(75.0)	(75.0)	(75.0)
Acquisitions	–	–	–	–
Divestitures	–	–	–	–
Others	(223.8)	–	–	–
Cash flow from investing	**(310.0)**	**(75.0)**	**(75.0)**	**(75.0)**
Dividends paid	(97.1)	(100.2)	(102.2)	(103.7)
Share issuance/(repurchase)	(651.0)	(770.4)	(792.0)	(772.8)
Inc/(dec) in debt	(27.1)	(172.8)	0.0	(510.9)
Others	(58.7)	20.0	20.0	20.0
Cash flow from financing	**(833.9)**	**(1,023.5)**	**(874.2)**	**(1,367.4)**
Total cash flow	**(44.0)**	**(234.9)**	**(249.4)**	**(215.4)**
Free cash flow	1,026.2	788.6	624.8	1,152.0
Free cash flow per share (basic) ($)	10.28	8.34	6.97	13.55

Source: Company data, Goldman Sachs Research estimates.

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the full-year expected to be up 8-10%, supporting future deliveries. By geography, management noted strength in the East Coast, Boise, Las Vegas, Reno, and California, while Tampa remains challenged along with Atlanta, San Antonio, and the Pacific Northwest. Although we see potential upside from spec closings in the coming quarters, we maintain our F2026 estimate for HB revenues to decline 4%, with deliveries off 6% and ASP up 2%, in line with the guide.

F2026 Margin Guide Unchanged: Given conditions, the path for profitability remains a focus for investors. On the call, management noted the F1Q gross margin benefited from greater operational efficiencies while incentives were flat at 8% of ASP. This comes as a modest increase in discounts on specs, as the company looks to position for the spring, was offset by a decline on BTOs. We are also encouraged as the gross margin on BTOs is holding above 30% while specs drive faster inventory turns. On the call, Toll highlighted efforts to sell unsold starts earlier in the construction process, with approx one-third currently sold before framing. This gives buyers greater access to design studios where spend is holding in line with historical norms, while margins have come up over time as Toll professionalizes the experience. Stick and brick costs were flat in the quarter, with green shoots around deflation slowly emerging. Although lumber is a bit of a headwind, it's being offset by declines in other materials. Labor has also become more available, adding to Toll's flexibility to meet demand. Looking to the remaining quarters, the guide for the gross margin includes: 1) incentives hold at current levels, 2) no change to build costs, 3) the benefit of operational efficiencies, and 4) geographic mix. More specifically, an increase in closings from more profitable Pacific and North regions in F4Q is expected to bring a greater sequential move in the margin vs that expected in 2Q/3Q. We also model seasonality in SG&A, bringing our full-year estimate to 10.3%, in line with the guide. Combined with our expectations for the gross margin, we forecast an HB EBIT margin of 15.8% this year, down 188bps YOY.

Revising Estimates and Price Target, Maintain Neutral Rating: Given guidance and updates to our model, our F2026 adj. EPS estimate remains at $12.80 while F2027 goes to $14.00 from $15.20, respectively. Our F2028 adj. EPS estimate is revised to $16.00 from $17.15. Given this, along with rolling forward our valuation by one quarter, our 12-month price target goes to $166 from $156, which is based on 1.7x (unchanged) our NTM tangible book value per share forecast.

Updating Illustrative Scenario Analysis: Over the next 12 months, our upside case implies a valuation of $113, which is 9.5x the F2026 EPS estimate. Our downside case implies a valuation of $190, which is 13.0x the F2026 EPS estimate. Given the current valuation, we see balanced risk/reward for TOL.

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Exhibit 1: TOL Upside/Downside Illustrative Scenarios

F2026 Estimate	Downside Case	Base Case	Upside Case
Homebuilding Revenues	$10,139	$10,752	$11,378
YOY Change	(7.6%)	(2.0%)	3.7%
Homebuilding EBIT Margin	14.0%	14.2%	15.5%
Homebuilding EBIT	$1,416	$1,530	$1,765
Total EBT	$1,511	$1,624	$1,859
Share Count	95	95	95
Implied EPS	**$11.90**	**$12.80**	**$14.65**
Return	(12%)	(5%)	9%
P/E Valuation			
P/E Multiple	9.5x	13.0x	13.0x
Implied Valuation	**$113**	**$166**	**$190**
Return	(29%)	4%	19%

Source: Company data, Goldman Sachs Global Investment Research

Risks: Upside risks include: (1) more supportive macro and interest rate backdrop, (2) ability to execute and effectively manage spec inventory, and 3) successfully deploying balance sheet and cash flows to support shareholder returns. Downside risks include: (1) rates stay higher for longer further pressuring margins, (2) delays or limitations around permitting, inspections, and other municipal events, and (3) greater than expected inflation in land, labor or materials could impact profitability.

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Reg AC

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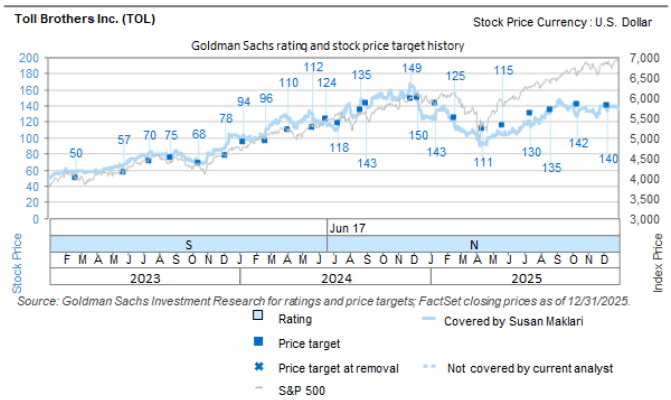

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HOUSING AND REAL ESTATE SERVICES EQUITY RESEARCH

BTIG

Toll Brothers, Inc. (TOL, Neutral)

February 18, 2026

Ryan Gilbert
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1Q26 EPS Mostly In-Line, Bumping Estimates Higher, Maintain Neutral

WHAT YOU SHOULD KNOW: TOL reported 1Q26 EPS of $2.19 vs. our $2.14 estimate and consensus $2.11. Higher than expected land sales and lower share count drove the beat to our estimate (Exhibit 1), core homebuilding was in-line. Unit order growth was flat y/y and in-line with our est. Order dollars increased +3% y/y beat our -2% est. TOL maintained FY26 guidance while the 2Q26 guide is lower than expected on both revenue and margin (Exhibit 2). We're increasing our FY26 EPS est. mostly due to the 1Q26 beat and FY27 EPS on slightly better ASP and gross margin (Exhibit 3). TOL saw what it characterized as a typical seasonal uplift in January, with deposits and traffic up "modestly" from the prior year period, and management is cautiously optimistic for the full year. Shares are up 20% ytd and trade at 1.9x 1Q26 TBVPS, which we believe incorporates more than "cautious" optimism for the spring selling season. But overall, TOL continues to perform well and its footprint in the more supply-constrained North region has bolstered results relative to peers. We believe the multiple incorporates this relative strength and we maintain our Neutral rating.

- **1Q26 revenue, orders, backlog, and specs.** Home sales revenue of $1.9B increased 1% y/y vs. our $1.9B est. Deliveries declined -5% y/y to 1,899 vs. our 1,892 est and the 1,800-1,900 guide. ASP increased +5% y/y to $974K vs. our $992K est. and the $985-995K guide. Orders were flat as a -9% y/y decline in absorption offset a 9% y/y increase in communities. The North led with orders +27% y/y on a +45% y/y increase in communities. Orders in the North have averaged +30% y/y over the past three quarters with community count driving the overall increase. TOL's strategy in the North has also shifted to more infill attached homes which is likely also contributing. TOL ended 1Q26 with 5,051 units in backlog, down -20% y/y and below our 5,072 est on higher deliveries. Specs increased +5% y/y to 3,371. Completed specs were +14% y/y at 1,120.
- **1Q26 margins.** Gross margin of 24.8% decreased 20 bps y/y vs. our 24.9% est. Adj gross margin of 26.5% declined 40 bps y/y vs. our 26.2% est. and the 26.25% guide. Incentives were flat q/q at 8%. SG&A/Sales increased 80 bps y/y to 13.9% vs. our 14.2% est. and the 14.2% guide. HB operating margin declined 160 bps y/y to 10.2% vs. our 10.8% est. TOL had unusually large land sales revenue in 1Q26, $260M, which produced a 6.0% gross margin and drove the operating margin miss.
- **2Q26 and FY26 guide.** TOL's 2Q26 home sales revenue range of $2.3-2.5B and delivery range of 2,400-2,500 are below our prior estimates and gross margin and SG&A/Sales are also both below. TOL attributed the lower gross margin guide to geographic mix. The 2Q26 guide pushes more of the full year earnings into 2H26 than in FY24 and FY25, but the percentage, ~63%, is not outside typical seasonality over the longer term. TOL has also been issuing conservative quarterly guides so we would not be surprised if actual results beat the guide.
- **Controlled lots and land spend.** TOL ended 1Q26 with 75K controlled lots, down -3% y/y. Owned lots declined -1% y/y to 33.6K and optioned lots declined -5% y/y to 41.4K. Land acquisition spend increased +17% y/y to $424M. Total years of land supply was consistent at 6.7 vs. 7.1 in 1Q25 given lower deliveries. TOL believes it has sufficient controlled lots to grow communities at a 7-10% in the years to come.
- **Valuation:** We value TOL at 1.65x 1Q26 TBVPS of $87.87. BTIG does not provide price targets on Neutral-rated stocks.

Company Data

Closing Price	$166.12
Price Target	-
Market Cap (M)	$15,742.69
Enterprise Value (M)	$17,103.63
Shares Out (M)	94.77
Avg Daily Vol-3 Months (M)	1.25
Dividend / Yield	$1.00 / 0.6%

Revisions

	Previous	Current
Rating	Neutral	Neutral
Price Target	-	-
FY26E Sales	10,403.03	10,475.72
FY27E Sales	10,829.74	11,018.22
FY26E EPS	12.71	12.79
FY27E EPS	12.91	13.21

Home Sales Revenue

FY Oct	2025A	2026E	2027E
Q1	1,840.78	1,854.99**A**	1,801.71
Q2	2,706.45	2,439.49	2,615.41
Q3	2,880.98	2,831.61	3,044.74
Q4	3,414.00	3,349.63	3,556.37
FY Sales	**10,842.20**	**10,475.72**	**11,018.22**

Diluted EPS (Adjusted)

FY Oct	2025A	2026E	2027E
Q1	1.75	2.19**A**	1.61
Q2	3.50	2.54	2.90
Q3	3.73	3.48	3.87
Q4	4.58	4.63	4.87
FY EPS	**13.49**	**12.79**	**13.21**
FY P/E	12.3x	13.0x	12.6x

Source: FactSet, BTIG Estimates and Company Documents reported as $ currency.
FY = Fiscal Year **CY** = Calendar Year

BTIG

Investment Thesis

TOL has made a number of targeted improvements to its business over the past few years which have led to a more efficient business and resilient returns, while eschewing a wholesale makeover. TOL has also benefited from a rebound in long-standing positions in the Mid-Atlantic and Northeast, which have become some of the most resilient homebuilding markets currently due to supply constraints. The net effect has been resilient gross margin and ROE relative to peers. Investors have taken note; the stock has outperformed the ITB in four of the past five years including 2025. We believe the benefits of the business improvements are mostly incorporated into earnings at this point and see limited room for further relative improvement in FY26. At a 1.9x PTB multiple, we believe investors fairly value the improved business model, resilient returns, and the earnings outlook, so we rate the stock Neutral.

Upcoming Catalysts

- Quarterly results
- Our proprietary monthly homebuilder survey can provide insights on demand trends
- Interest rate fluctuations and Federal Reserve monetary policy will likely continue to impact the shares

Base Case Assumptions

- 2026 housing demand remains subdued, driven by high mortgage rates and weakness in the labor market
- TOL's order growth is +4% on a 9% increase in average communities, but home sales revenue decreases -3% y/y as a result of -6% deliveries, partially offset by +3% ASP
- FY26 gross margin -100 bps y/y, SG&A/Sales +70 bps, and operating margin -150 bps

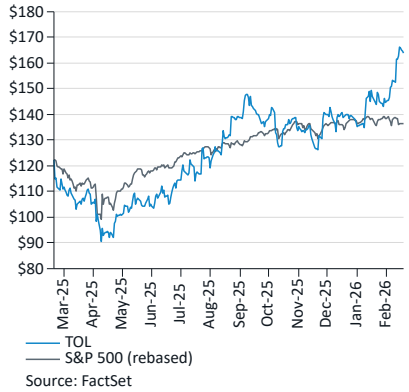
Upside Scenario: **$197/sh**

- Lower mortgage rates and strengthening labor market drive a rebound in demand and TOL is able to reduce incentives
- In this scenario, TOL could drive delivery growth of +10% y/y, ASP +5%, and EPS +23% as margins expand
- We believe TOL could trade at 2.24x 1Q26 TBPVS yielding a $197 fair value

Downside Scenario: **$117/sh**

- Higher interest rates result and persistent affordability concerns result in higher incentives and diminished homebuyer demand
- In this scenario, deliveries decline by -10% y/y, ASP declines by -5% and EPS declines by -30% as margins compress
- We believe TOL could trade at 1.33x 1Q26 TBPVS yielding a $117 fair value

Price Performance



Source: FactSet

Company Description

Toll Brothers, Inc. (TOL) was the tenth-largest homebuilder in the U.S. by unit volume in 2025, delivering 11,292 homes in its fiscal year (ending October 2025) with an average selling price of $960K. TOL currently builds in five geographic segments and 24 states. TOL focuses on the move-up, semi-luxury, luxury and active adult buyer segments. The company also builds, owns and sells luxury apartments. Founded in 1967, TOL is based in Fort Washington, PA.

BTIG

Exhibit 1 - TOL 1Q26 Results vs. BTIG, Consensus, and 1Q25

Metric	Consensus	BTIG	Actual	1Q25	Y/Y	Guidance
Home Sales Revenue ($M)	1,850.0	1,876.9	1,855.0	1,840.8	*0.8%*	
EPS	$2.11	$2.14	$2.19	$1.75	*25.3%*	
Unit Order Growth	5.0%	0.4%	-0.2%	13.0%		
Gross Margin	24.8%	24.9%	24.8%	25.0%	*(20) bp*	
Gross Margin ex charges	NA	25.1%	25.4%	25.8%	*(40) bp*	
Gross Margin ex cap int & charges	26.3%	26.2%	26.5%	26.9%	*(40) bp*	26.3%
SG&A/Sales Ratio	14.0%	14.2%	13.9%	13.1%	*80 bp*	14.2%
Orders (Units)	2,422	2,316	2,303	2,307	*-0.2%*	
Orders ASP ($000s)	992	980	1,033	1,000	*3.3%*	
Avg Community Count	NA	445	446	408	*9.2%*	445 EOP
Weekly Absorption	NA	0.40	0.40	0.43	*-8.6%*	
Deliveries (Units)	1,863	1,892	1,899	1,991	*-4.6%*	1800-1900
Deliveries ASP ($000s)	990	992	977	925	*5.7%*	$985-995
Backlog	5,169	5,072	5,051	6,312	*-20.0%*	
Backlog ASP ($000s)	1,120	1,161	1,192	1,099	*8.5%*	
Backlog Conversion (Units)	40.1%	40.7%	40.9%	33.2%	*770 bp*	
Backlog Conversion (Dollars)	33.7%	34.2%	33.8%	28.5%	*530 bp*	
JV, Land, and Other (M)	NA	$70.0	$72.0	$2.5	*2779.5%*	$70.0
Tax Rate	NA	23.2%	22.9%	19.7%	*320 bp*	23.2%
Share Repurchases (M)	NA	$27.0	$44.0	$23.8	*85.3%*	

Source: Company Filings, Factset, BTIG research

Exhibit 2 - 2Q26 and FY26 Guidance Relative to New and Prior BTIG Estimates

Metric	2Q26			FY26			
	Guidance	New BTIG Est.	Prior BTIG Est.	New Guidance	Prior Guidance	New BTIG Est.	Prior BTIG Est.
Unit Deliveries	2,400-2,500	2,497	2,583	10,300-10,700	10,300-10,700	10,605	10,563
ASP (000s)	$975-985	$977	$980	$970-990	$970-990	$988	$985
GM ex charges and cap int	25.5%	25.5%	26.0%	26.0%	26.0%	26.0%	26.0%
SG&A/Sales	10.7%	10.7%	10.0%	10.3%	10.3%	10.2%	10.2%
JV/Land/Other Income	$0.0	$0.0	$22.0	$130.0	$130.0	$130.0	$130.0
Tax Rate	26.0%	26.0%	26.0%	25.5%	25.5%	25.3%	25.4%
EOP Communities	455	455	459	480-490	480-490	486	486

Source: Company Filings, BTIG Research

BTIG

Exhibit 3 - Estimate Revisions Table

	2025	2Q26E			2026E			2027E			Y/Y Growth	
	Actual	New	Prior	Change	New	Prior	Change	New	Prior	Change	2026	2027
Revenue Inputs												
Deliveries	11,292	2,497	2,583	-3%	10,605	10,563	0%	11,119	11,167	0%	*-6.1%*	*4.8%*
Average selling price	$960.2	$977.1	$980.3	0%	$987.8	$984.9	0%	$990.9	$969.8	2%	*2.9%*	*0.3%*
Average order price	$990.6	$977.9	$977.9	0%	$989.0	$977.2	1%	$984.6	$972.3	1%	*-0.2%*	*-0.4%*
Margin Inputs												
Gross margin	25.6%	24.2%	24.7%	*(50) bp*	24.6%	24.7%	*(10) bp*	24.1%	24.0%	*10 bp*	*(100) bp*	*(50) bp*
SG&A/Sales	9.5%	10.7%	10.0%	*70 bp*	10.2%	10.2%	*10 bp*	10.0%	10.0%	*0 bp*	*70 bp*	*(20) bp*
Order Growth Inputs												
Avg community growth	8.8%	8.0%	9.0%	*(100) bp*	9.0%	9.0%	*0 bp*	6.0%	3.0%	*300 bp*	*20 bp*	*(300) bp*
Absorption growth	-10.0%	-2.0%	-2.0%	*0 bp*	-4.4%	-4.2%	*(20) bp*	1.9%	2.1%	*(20) bp*	*560 bp*	*630 bp*
Order growth	-2.8%	6.6%	7.1%	*(40) bp*	4.1%	4.5%	*(40) bp*	9.6%	9.2%	*40 bp*	*690 bp*	*550 bp*
Income Statement												
Home sales revenue	10,842.2	2,439.5	2,532.2	-4%	10,475.7	10,403.0	1%	11,018.2	10,829.7	2%	*-3.4%*	*5.2%*
Cost of sales	8,003.8	1,844.7	1,902.1	-3%	7,865.5	7,813.7	1%	8,335.2	8,210.9	2%	*-1.7%*	*6.0%*
Gross profit	**2,838.4**	**594.8**	**630.1**	-6%	**2,610.2**	**2,589.3**	1%	**2,683.1**	**2,618.8**	2%	***-8.0%***	***2.8%***
SG&A	1,033.6	259.8	252.0	3%	1,073.0	1,059.6	1%	1,101.7	1,077.8	2%	*3.8%*	*2.7%*
Home sales operating income	**1,804.8**	**335.0**	**378.1**	-11%	**1,537.1**	**1,529.8**	0%	**1,581.4**	**1,541.0**	3%	***-14.8%***	***2.9%***
Other expense, net	13.4	5.0	(17.0)	-129%	(98.3)	(110.0)	-11%	(54.0)	(64.0)	-16%	*-834.7%*	*-45.1%*
Homebuilding pre-tax income	**1,791.4**	**330.0**	**395.1**	-16%	**1,635.5**	**1,639.8**	0%	**1,635.4**	**1,605.0**	2%	***-8.7%***	***0.0%***
Income tax expense	444.9	85.8	102.7	-16%	413.8	416.1	-1%	415.3	408.0	2%	*-7.0%*	*0.4%*
Net income	**1,346.5**	**244.2**	**292.4**	-16%	**1,221.6**	**1,223.7**	0%	**1,220.0**	**1,197.0**	2%	***-9.3%***	***-0.1%***
Diluted EPS	**$13.49**	**$2.54**	**$3.01**	-16%	**$12.79**	**$12.71**	1%	**$13.21**	**$12.91**	2%	***-5.2%***	***3.3%***

Source: Company Filings, BTIG Research

BTIG

TOLL BROTHERS, INC (TOL)	2023	JAN	APR	JUL	OCT	2024	JAN	APR	JUL	OCT	2025	JAN	APR	JUL	OCT	2026	JAN	APR	JUL	OCT	2027
FISCAL YEAR ENDS OCTOBER	FY	Q1	Q2	Q3	Q4	FY	Q1	Q2	Q3	Q4	FY	Q1	Q2E	Q3E	Q4E	FYE	Q1E	Q2E	Q3E	Q4E	FYE
INCOME STATEMENT ($M)																					
Homebuilding Revenue	**9,866.0**	**1,931.8**	**2,647.0**	**2,724.5**	**3,260.0**	**10,563.3**	**1,840.8**	**2,706.5**	**2,881.0**	**3,414.0**	**10,842.2**	**1,855.0**	**2,439.5**	**2,831.6**	**3,349.6**	**10,475.7**	**1,801.7**	**2,615.4**	**3,044.7**	**3,556.4**	**11,018.2**
Cost of Home Sales	7,037.2	1,374.2	1,900.1	1,938.9	2,351.8	7,565.0	1,345.0	1,962.1	2,089.3	2,489.4	7,885.7	1,363.7	1,817.8	2,101.5	2,467.5	7,750.6	1,337.7	1,967.2	2,274.9	2,634.0	8,214.0
Capitalized Interest	139.4	23.6	34.7	32.8	37.8	129.0	20.1	30.3	30.2	37.5	118.1	20.1	26.8	31.1	36.8	114.9	19.8	28.8	33.5	39.1	121.2
Inventory & Lot Option Charges	30.7	1.5	28.4	5.5	24.1	59.4	16.4	9.8	23.3	16.4	65.9	11.7	5.0	5.0	10.0	31.7	10.0	5.0	5.0	10.0	30.0
Total Cost of Homebuilding Revenue	7,207.3	1,399.3	1,963.3	1,977.2	2,413.7	7,753.4	1,381.5	2,002.2	2,142.8	2,543.3	8,069.7	1,395.5	1,849.7	2,137.7	2,514.4	7,897.2	1,367.6	2,001.0	2,313.4	2,683.2	8,365.2
Homebuilding Gross Profit	**2,658.7**	**532.6**	**683.7**	**747.3**	**846.3**	**2,809.9**	**459.3**	**704.2**	**738.2**	**870.7**	**2,772.5**	**459.5**	**589.8**	**693.9**	**835.3**	**2,578.5**	**434.2**	**614.4**	**731.3**	**873.2**	**2,653.1**
Land Gross Profit	(24.5)	5.9	177.5	(5.3)	34.5	212.5	0.2	1.2	3.2	(22.9)	(18.2)	17.5	0.0	3.0	5.0	25.5	2.0	3.0	3.0	5.0	13.0
Selling, General, and Administrative Expenses	909.4	230.0	237.7	244.8	269.7	982.3	240.4	255.8	253.7	283.8	1,033.6	257.9	259.8	263.5	291.8	1,073.0	250.5	270.7	274.2	306.3	1,101.7
Homebuilding Operating Income	**1,724.8**	**308.4**	**623.5**	**497.2**	**611.1**	**2,040.1**	**219.1**	**449.7**	**487.7**	**564.1**	**1,720.6**	**219.1**	**330.0**	**433.4**	**548.4**	**1,530.9**	**185.6**	**346.7**	**460.1**	**571.9**	**1,564.4**
Income from unconsolidated entities	50.1	(9.2)	5.9	(10.5)	(10.0)	(23.8)	(8.7)	11.5	(1.0)	17.3	19.1	35.4	0.0	5.0	5.0	45.4	(1.0)	5.0	10.0	5.0	19.0
Other, Net	67.5	11.9	20.4	17.0	20.1	69.3	11.0	16.3	12.8	11.6	51.7	19.1	0.0	10.0	30.0	59.1	13.0	13.0	13.0	13.0	52.0
Homebuilding Pre-Tax Income	**1,842.4**	**311.1**	**649.8**	**503.6**	**621.1**	**2,085.6**	**221.4**	**477.5**	**499.5**	**593.0**	**1,791.4**	**273.6**	**330.0**	**448.4**	**583.4**	**1,635.5**	**197.6**	**364.7**	**483.1**	**589.9**	**1,635.4**
Income Taxes	470.3	71.6	168.2	129.0	145.7	514.4	43.7	125.1	129.9	146.3	444.9	62.6	85.8	116.6	148.8	413.8	47.4	94.8	125.6	147.5	415.3
Net Income	**1,372.1**	**239.5**	**481.6**	**374.6**	**475.4**	**1,571.2**	**177.7**	**352.4**	**369.6**	**446.7**	**1,346.5**	**210.9**	**244.2**	**331.8**	**434.7**	**1,221.6**	**150.2**	**269.9**	**357.5**	**442.4**	**1,220.0**
Diluted EPS	**$12.36**	**$2.25**	**$4.55**	**$3.60**	**$4.63**	**$15.01**	**$1.75**	**$3.50**	**$3.73**	**$4.58**	**$13.49**	**$2.19**	**$2.54**	**$3.48**	**$4.63**	**$12.79**	**$1.61**	**$2.90**	**$3.87**	**$4.87**	**$13.21**
EPS ex charges/gains	**$12.36**	**$2.25**	**$4.55**	**$3.60**	**$4.63**	**$15.01**	**$1.75**	**$3.50**	**$3.73**	**$4.58**	**$13.49**	**$2.19**	**$2.54**	**$3.48**	**$4.63**	**$12.79**	**$1.61**	**$2.90**	**$3.87**	**$4.87**	**$13.21**
Diluted Shares Outstanding	111.0	106.3	105.8	104.0	102.7	104.7	101.8	100.6	99.2	97.5	99.8	96.5	96.3	95.3	93.8	95.5	93.1	93.0	92.3	90.9	92.3
EBIAT (35% Tax Rate before 1Q18)	1,475.9	257.7	507.4	399.0	504.4	1,668.3	193.8	374.8	391.9	475.0	1,435.2	226.4	264.1	354.9	462.1	1,307.5	165.3	291.2	382.3	471.8	1,310.4
EBITDA	2,193.7	381.7	753.0	587.4	732.5	2,454.6	314.1	535.3	598.7	717.4	2,165.5	328.8	382.4	506.2	645.8	1,863.3	252.6	419.0	543.3	654.6	1,869.5
Homebuilding Margins																					
Gross Margin	26.9%	27.6%	25.8%	27.4%	26.0%	26.6%	25.0%	26.0%	25.6%	25.5%	25.6%	24.8%	24.2%	24.5%	24.9%	24.6%	24.1%	23.5%	24.0%	24.6%	24.1%
Gross Margin ex charges and interest	28.7%	28.9%	28.2%	28.8%	27.9%	28.4%	26.9%	27.5%	27.5%	27.1%	27.3%	26.5%	25.5%	25.8%	26.3%	26.0%	25.8%	24.8%	25.3%	25.9%	25.5%
SG&A/Sales Ratio	9.2%	11.9%	9.0%	9.0%	8.3%	9.3%	13.1%	9.5%	8.8%	8.3%	9.5%	13.9%	10.7%	9.3%	8.7%	10.2%	13.9%	10.4%	9.0%	8.6%	10.0%
Operating Margin	17.3%	15.8%	22.0%	18.2%	18.3%	18.8%	11.8%	16.4%	16.6%	16.5%	15.7%	10.2%	13.5%	15.3%	16.4%	14.2%	10.3%	13.3%	15.1%	16.1%	14.2%
Pre-Tax Margin	18.7%	16.1%	24.5%	18.5%	19.1%	19.7%	12.0%	17.6%	17.3%	17.4%	16.5%	14.7%	13.5%	15.8%	17.4%	15.6%	11.0%	13.9%	15.9%	16.6%	14.8%
Tax Rate	25.5%	23.0%	25.9%	25.6%	23.5%	24.7%	19.7%	26.2%	26.0%	24.7%	24.8%	22.9%	26.0%	26.0%	25.5%	25.3%	24.0%	26.0%	26.0%	25.0%	25.4%
YOY Growth Rate																					
Homebuilding Revenue	1.6%	10.4%	6.3%	1.9%	10.4%	7.1%	(4.7)%	2.2%	5.7%	4.7%	2.6%	0.8%	(9.9)%	(1.7)%	(1.9)%	(3.4)%	(2.9)%	7.2%	7.5%	6.2%	5.2%
Homebuilding Gross Profit	7.4%	18.7%	4.0%	0.6%	4.4%	5.7%	(13.8)%	3.0%	(1.2)%	2.9%	(1.3)%	0.0%	(16.2)%	(6.0)%	(4.1)%	(7.0)%	(5.5)%	4.2%	5.4%	4.5%	2.9%
Homebuilding Operating Income	14.1%	36.9%	46.5%	(3.5)%	9.4%	18.3%	(28.9)%	(27.9)%	(1.9)%	(7.7)%	(15.7)%	(0.0)%	(26.6)%	(11.1)%	(2.8)%	(11.0)%	(15.3)%	5.1%	6.2%	4.3%	2.2%
Homebuilding Pre-Tax Income	8.1%	22.6%	50.9%	(8.9)%	2.7%	13.2%	(28.8)%	(26.5)%	(0.8)%	(4.5)%	(14.1)%	23.6%	(30.9)%	(10.2)%	(1.6)%	(8.7)%	(27.8)%	10.5%	7.7%	1.1%	(0.0)%
Diluted EPS, Adj	13.3%	32.2%	59.5%	(3.5)%	12.6%	21.4%	(22.6)%	(23.0)%	3.5%	(1.1)%	(10.1)%	25.3%	(27.6)%	(6.6)%	1.2%	(5.2)%	(26.2)%	14.4%	11.3%	5.1%	3.3%
Operating Metrics - Units																					
Average Community Count	346	374	382	395	407	389	408	414	421	433	419	446	450	456	472	456	486	486	488	503	491
YOY	*4.5%*	*10.5%*	*12.5%*	*13.7%*	*13.8%*	*12.7%*	*9.2%*	*8.4%*	*6.5%*	*6.4%*	*7.6%*	*9.2%*	*8.8%*	*8.5%*	*9.0%*	*8.9%*	*9.0%*	*8.0%*	*7.0%*	*6.5%*	*7.6%*
Weekly Absorption	0.45	0.42	0.61	0.48	0.50	0.51	0.43	0.49	0.44	0.46	0.46	0.40	0.48	0.42	0.45	0.44	0.42	0.48	0.42	0.45	0.44
YOY	*(6.4)%*	*26.5%*	*15.8%*	*(2.4)%*	*14.6%*	*12.4%*	*3.4%*	*(19.6)%*	*(9.9)%*	*(8.1)%*	*(9.7)%*	*(8.6)%*	*(2.0)%*	*(5.0)%*	*(2.5)%*	*(4.4)%*	*5.0%*	*0.0%*	*2.0%*	*1.0%*	*1.8%*
Orders	8,077	2,042	3,041	2,490	2,658	10,231	2,307	2,650	2,388	2,598	9,943	2,303	2,825	2,461	2,761	10,351	2,636	3,051	2,686	2,969	11,343
YOY	*(2.2)%*	*39.8%*	*30.3%*	*10.9%*	*30.4%*	*26.7%*	*13.0%*	*(12.9)%*	*(4.1)%*	*(2.3)%*	*(2.8)%*	*(0.2)%*	*6.6%*	*3.1%*	*6.3%*	*4.1%*	*14.5%*	*8.0%*	*9.1%*	*7.5%*	*9.6%*
Deliveries	9,597	1,927	2,641	2,814	3,431	10,813	1,991	2,899	2,959	3,443	11,292	1,899	2,497	2,868	3,342	10,605	1,839	2,669	3,081	3,530	11,119
YOY	*(8.5)%*	*5.5%*	*6.0%*	*11.5%*	*24.5%*	*12.7%*	*3.3%*	*9.8%*	*5.2%*	*0.3%*	*4.4%*	*(4.6)%*	*(13.9)%*	*(3.1)%*	*(2.9)%*	*(6.1)%*	*(3.2)%*	*6.9%*	*7.5%*	*5.6%*	*4.8%*
Backlog	6,578	6,693	7,093	6,769	5,996	5,996	6,312	6,063	5,492	4,647	4,647	5,051	5,380	4,973	4,393	4,393	5,190	5,572	5,177	4,616	4,616
YOY	*(18.8)%*	*(13.4)%*	*(6.4)%*	*(7.2)%*	*(8.8)%*	*(8.8)%*	*(5.7)%*	*(14.5)%*	*(18.9)%*	*(22.5)%*	*(22.5)%*	*(20.0)%*	*(11.3)%*	*(9.4)%*	*(5.5)%*	*(5.5)%*	*2.7%*	*3.6%*	*4.1%*	*5.1%*	*5.1%*
Pricing (000s)																					
Average Selling Price	$1,028.0	$1,002.5	$1,002.3	$968.2	$950.2	$976.9	$924.5	$933.6	$973.6	$991.6	$960.2	$976.8	$977.1	$987.5	$1,002.4	$987.8	$979.7	$980.0	$988.1	$1,007.5	$990.9
YOY	*11.0%*	*4.6%*	*0.3%*	*(8.6)%*	*(11.3)%*	*(5.0)%*	*(7.8)%*	*(6.9)%*	*0.6%*	*4.4%*	*(1.7)%*	*5.7%*	*4.7%*	*1.4%*	*1.1%*	*2.9%*	*0.3%*	*0.3%*	*0.1%*	*0.5%*	*0.3%*
Average Order Price	$979.1	$1,011.2	$967.1	$966.9	$1,000.5	$984.5	$1,000.1	$982.8	$1,010.1	$972.4	$990.6	$1,033.1	$977.9	$989.8	$962.7	$989.0	$1,022.8	$958.3	$980.0	$981.9	$984.6
YOY	*(10.9)%*	*1.6%*	*(0.8)%*	*0.3%*	*1.2%*	*0.6%*	*(1.1)%*	*1.6%*	*4.5%*	*(2.8)%*	*0.6%*	*3.3%*	*(0.5)%*	*(2.0)%*	*(1.0)%*	*(0.2)%*	*(1.0)%*	*(2.0)%*	*(1.0)%*	*2.0%*	*(0.4)%*
Average Backlog Price	$1,055.8	$1,058.0	$1,040.2	$1,044.0	$1,078.7	$1,078.7	$1,099.2	$1,128.1	$1,161.0	$1,182.4	$1,182.4	$1,192.3	$1,179.6	$1,196.4	$1,197.1	$1,197.1	$1,185.6	$1,159.7	$1,168.5	$1,171.6	$1,171.6
YOY	*(3.7)%*	*(4.7)%*	*(5.9)%*	*(3.3)%*	*2.2%*	*2.2%*	*3.9%*	*8.4%*	*11.2%*	*9.6%*	*9.6%*	*8.5%*	*4.6%*	*3.1%*	*1.2%*	*1.2%*	*(0.6)%*	*(1.7)%*	*(2.3)%*	*(2.1)%*	*(2.1)%*
Conversion																					
Backlog Conversion - Units		29.3%	39.5%	39.7%	50.7%		33.2%	45.9%	48.8%	62.7%		40.9%	49.4%	53.3%	67.2%		41.9%	51.4%	55.3%	68.2%	
YOY		*6.7%*	*7.2%*	*6.3%*	*12.9%*		*3.9%*	*6.5%*	*9.1%*	*12.0%*		*7.7%*	*3.5%*	*4.5%*	*4.5%*		*1.0%*	*2.0%*	*2.0%*	*1.0%*	
Backlog Conversion - Dollars		27.8%	37.4%	36.9%	46.1%		28.5%	39.0%	42.1%	53.5%		33.8%	40.5%	44.6%	56.3%		34.3%	42.5%	47.1%	58.8%	
YOY		*8.1%*	*8.4%*	*5.0%*	*8.6%*		*0.6%*	*1.6%*	*5.2%*	*7.4%*		*5.3%*	*1.5%*	*2.5%*	*2.8%*		*0.5%*	*2.0%*	*2.5%*	*2.5%*	

Sources: Company Filings, BTIG Research

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TOLL BROTHERS, INC (TOL)	2023	JAN	APR	JUL	OCT	2024	JAN	APR	JUL	OCT	2025	JAN	APR	JUL	OCT	2026	JAN	APR	JUL	OCT	2027
FISCAL YEAR ENDS OCTOBER	FY	Q1	Q2	Q3	Q4	FY	Q1	Q2	Q3	Q4	FY	Q1	Q2E	Q3E	Q4E	FYE	Q1E	Q2E	Q3E	Q4E	FYE
BALANCE SHEET ($M)																					
ASSETS																					
Cash & Equivalents	1,300.1	754.8	1,030.5	893.4	1,303.0	1,303.0	574.8	686.5	852.3	1,259.0	1,259.0	1,122.9	1,059.8	1,008.0	1,526.0	1,526.0	967.8	820.6	758.3	1,164.9	1,164.9
Inventories	9,057.6	9,581.5	9,926.9	10,198.1	9,712.9	9,712.9	10,677.5	10,994.9	11,071.5	10,678.5	10,678.5	11,203.5	11,586.0	11,608.7	11,244.2	11,244.2	11,723.7	12,198.9	12,407.4	11,987.6	11,987.6
Mortgage Loans	110.6	73.3	136.3	137.6	191.2	191.2	99.6	195.7	185.1	200.8	200.8	130.3	130.3	130.3	130.3	130.3	130.3	130.3	130.3	130.3	130.3
Deferred Tax Asset	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Other Assets	2,058.8	2,112.4	2,156.5	2,130.6	2,160.7	2,160.7	2,270.1	2,318.8	2,287.8	2,381.6	2,381.6	1,975.3	1,999.5	2,022.2	2,045.4	2,045.4	2,068.2	2,092.4	2,115.1	2,138.3	2,138.3
Intangibles	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Total Assets	**12,527.0**	**12,522.0**	**13,250.4**	**13,359.7**	**13,367.9**	**13,367.9**	**13,622.1**	**14,195.8**	**14,396.8**	**14,519.9**	**14,519.9**	**14,432.0**	**14,775.7**	**14,769.2**	**14,945.9**	**14,945.9**	**14,890.0**	**15,242.3**	**15,411.1**	**15,421.1**	**15,421.1**
LIABILITIES AND EQUITY																					
Payables	597.6	610.5	694.4	675.5	492.2	492.2	650.7	666.5	619.6	615.8	615.8	536.1	684.2	609.5	615.1	615.1	514.8	673.7	726.7	619.8	619.8
Customer Deposits	540.7	534.4	542.9	524.0	488.7	488.7	518.2	515.0	483.9	418.9	418.9	456.1	456.1	456.1	456.1	456.1	456.1	456.1	456.1	456.1	456.1
Accruals & Other	1,715.0	1,617.7	1,851.6	1,907.1	1,867.4	1,867.4	1,895.7	2,249.7	2,239.6	2,411.2	2,411.2	2,298.6	2,346.5	2,340.0	2,387.6	2,387.6	2,320.0	2,346.5	2,340.0	2,387.6	2,387.6
Financial Services Debt	100.1	63.2	127.5	125.4	150.0	150.0	90.0	150.0	150.0	150.0	150.0	121.1	121.1	121.1	121.1	121.1	121.1	121.1	121.1	121.1	121.1
Homebuilding Debt	2,760.4	2,660.6	2,709.8	2,696.7	2,682.9	2,682.9	2,656.1	2,650.3	2,792.5	2,637.9	2,637.9	2,600.2	2,600.2	2,600.2	2,600.2	2,600.2	2,600.2	2,600.2	2,600.2	2,600.2	2,600.2
Total Liabilities	**5,713.8**	**5,486.3**	**5,926.2**	**5,928.7**	**5,681.2**	**5,681.2**	**5,810.6**	**6,231.4**	**6,285.6**	**6,233.8**	**6,233.8**	**6,012.1**	**6,208.1**	**6,126.9**	**6,180.1**	**6,180.1**	**6,012.3**	**6,197.7**	**6,244.1**	**6,184.8**	**6,184.8**
Equity	**6,813.2**	**7,035.6**	**7,324.2**	**7,431.0**	**7,686.7**	**7,686.7**	**7,811.5**	**7,964.4**	**8,111.2**	**8,286.1**	**8,286.1**	**8,419.9**	**8,567.5**	**8,642.3**	**8,765.8**	**8,765.8**	**8,877.7**	**9,044.6**	**9,167.0**	**9,236.4**	**9,236.4**
Total Liabilities & Equity	**12,527.0**	**12,522.0**	**13,250.4**	**13,359.7**	**13,367.9**	**13,367.9**	**13,622.1**	**14,195.8**	**14,396.8**	**14,519.9**	**14,519.9**	**14,432.0**	**14,775.7**	**14,769.2**	**14,945.9**	**14,945.9**	**14,890.0**	**15,242.3**	**15,411.1**	**15,421.1**	**15,421.1**
TBVPS	**$63.25**	**$66.77**	**$69.74**	**$72.00**	**$75.42**	**$75.42**	**$77.31**	**$79.57**	**$82.24**	**$85.48**	**$85.48**	**$87.87**	**$89.61**	**$91.30**	**$94.12**	**$94.12**	**$96.05**	**$97.91**	**$100.05**	**$102.37**	**$102.37**
CASH FLOW STATEMENT ($M)																					
Cash Flow from Operations																					
Net Income	1,372.1	239.6	481.6	374.6	475.4	1,571.2	177.7	352.4	369.6	446.7	1,346.5	210.9	244.2	331.8	434.7	1,221.6	150.2	269.9	357.5	442.4	1,220.0
Addbacks																					
D&A	76.5	16.1	19.1	20.1	25.8	81.2	17.2	20.8	22.3	21.8	82.1	17.2	20.8	22.3	21.8	82.1	17.2	20.8	22.3	21.8	82.1
Deferred Income Taxes	36.2	1.9	5.3	4.8	(92.4)	(80.3)	1.5	3.5	10.5	71.2	86.7	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Other	135.4	30.9	49.3	30.8	47.8	158.9	55.5	6.7	46.7	65.1	174.0	18.0	4.8	4.3	3.7	30.8	18.0	4.8	4.3	3.7	30.8
Net (Increase)/Decrease In Inventories	(22.2)	(499.0)	(180.3)	(272.7)	376.3	(575.7)	(832.2)	(68.4)	(2.2)	381.6	(521.2)	(525.1)	(382.5)	(22.7)	364.5	(565.7)	(479.5)	(475.3)	(208.4)	419.7	(743.4)
Net (Increase)/Decrease In Other Assets	(57.0)	18.9	(68.0)	13.1	(42.0)	(78.0)	90.9	(88.1)	(6.9)	(28.3)	(32.5)	396.2	0.0	0.0	0.0	396.2	0.0	0.0	0.0	0.0	0.0
Net Increase/(Decrease) in Operating Liabilities	(274.5)	(115.3)	151.9	4.8	(108.4)	(67.1)	68.7	135.9	(69.7)	(158.1)	(23.2)	(169.5)	196.0	(81.3)	53.3	(1.5)	(167.9)	185.4	46.4	(59.3)	4.6
Operating Cash Flow	**1,266.4**	**(307.0)**	**459.0**	**175.6**	**682.5**	**1,010.2**	**(420.8)**	**362.8**	**370.3**	**800.0**	**1,112.4**	**(52.3)**	**83.3**	**254.6**	**877.9**	**1,163.5**	**(461.9)**	**5.5**	**222.1**	**828.4**	**594.1**
Cash Flow from Investing																					
Capital Expenditures	(73.0)	(13.6)	(16.1)	(25.8)	(18.2)	(73.6)	(17.3)	(15.6)	(25.4)	(27.8)	(86.2)	(20.4)	(20.0)	(20.0)	(20.0)	(80.4)	(15.0)	(20.0)	(20.0)	(20.0)	(75.0)
Acquisitions	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Other, Net	(77.6)	(45.8)	(25.2)	10.4	(33.4)	(94.0)	(102.1)	(52.7)	(27.0)	(42.0)	(223.8)	69.4	(25.0)	(25.0)	(25.0)	(5.6)	(25.0)	(25.0)	(25.0)	(25.0)	(100.0)
Investing Cash Flow	**(150.6)**	**(59.4)**	**(41.3)**	**(15.3)**	**(51.6)**	**(167.6)**	**(119.5)**	**(68.3)**	**(52.4)**	**(69.9)**	**(310.0)**	**49.0**	**(45.0)**	**(45.0)**	**(45.0)**	**(86.0)**	**(40.0)**	**(45.0)**	**(45.0)**	**(45.0)**	**(175.0)**
Financing																					
Net Change in Homebuilding Debt	(565.6)	(145.6)	67.9	(19.4)	(3.2)	(100.3)	(106.5)	32.2	108.5	(61.2)	(27.1)	(37.7)	0.0	0.0	0.0	(37.7)	0.0	0.0	0.0	0.0	0.0
Net Change in Financial Service Debt	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Stock Option Exercise	48.3	(9.3)	5.7	1.7	6.0	4.1	(22.9)	0.6	1.0	1.3	(19.9)	(27.1)	0.0	0.0	0.0	(27.1)	0.0	0.0	0.0	0.0	0.0
Share Issuance	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Share Repurchase	(561.6)	(0.1)	(180.0)	(243.5)	(203.5)	(627.1)	(23.7)	(181.2)	(199.4)	(246.7)	(651.0)	(44.0)	(77.5)	(237.7)	(291.7)	(651.0)	(33.1)	(84.7)	(216.6)	(354.3)	(688.7)
Other	0.0	0.2	0.0	0.0	0.0	0.2	0.4	(13.0)	(27.1)	0.9	(38.8)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Dividends	(91.1)	(23.3)	(23.8)	(23.3)	(23.1)	(93.4)	(24.4)	(24.6)	(24.3)	(23.8)	(97.1)	(23.9)	(23.9)	(23.6)	(23.3)	(94.7)	(23.1)	(23.1)	(22.9)	(22.5)	(91.6)
Financing Cash Flow	**(1,170.0)**	**(178.0)**	**(130.2)**	**(284.4)**	**(223.8)**	**(816.5)**	**(177.2)**	**(185.9)**	**(141.3)**	**(329.5)**	**(833.9)**	**(132.8)**	**(101.4)**	**(261.4)**	**(315.0)**	**(810.5)**	**(56.2)**	**(107.8)**	**(239.4)**	**(376.8)**	**(780.2)**
Increase (Decrease) in Cash & Equivalents	(54.2)	(544.4)	287.5	(124.2)	407.2	26.1	(717.4)	108.7	176.6	400.6	(31.5)	(136.1)	(63.1)	(51.8)	518.0	267.0	(558.2)	(147.3)	(62.3)	406.6	(361.1)
Cash At Beginning of Period	1,398.6	1,344.3	800.0	1,087.5	963.3	1,344.3	1,370.4	653.0	761.7	938.3	1,370.4	1,339.0	1,202.8	1,139.8	1,088.0	1,338.9	1,605.9	1,047.8	900.5	838.2	1,605.9
Cash At End of Period*	**1,344.3**	**800.0**	**1,087.5**	**963.3**	**1,370.4**	**1,370.4**	**653.0**	**761.7**	**938.3**	**1,339.0**	**1,338.9**	**1,202.8**	**1,139.8**	**1,088.0**	**1,605.9**	**1,605.9**	**1,047.8**	**900.5**	**838.2**	**1,244.8**	**1,244.8**
Ratios																					
TTM EPS / TBVPS	**21.4%**	**21.3%**	**23.0%**	**21.8%**	**21.7%**	**21.7%**	**20.1%**	**18.0%**	**17.6%**	**16.9%**	**16.9%**	**17.0%**	**15.3%**	**14.6%**	**14.3%**	**14.3%**	**13.4%**	**13.5%**	**13.6%**	**13.5%**	**13.5%**
TTM Return on Average Equity	21.4%	21.4%	23.1%	21.9%	21.7%	21.7%	20.3%	18.1%	17.7%	16.9%	16.9%	17.0%	15.4%	14.7%	14.3%	14.3%	13.4%	13.5%	13.6%	13.5%	13.5%
TTM Return on Average Invested Capital	15.6%	16.0%	17.4%	16.6%	16.6%	16.6%	15.7%	14.1%	13.8%	13.3%	13.3%	13.4%	12.3%	11.8%	11.6%	11.6%	11.0%	11.1%	11.2%	11.2%	11.2%
TTM Homebuilding Inventory Turns	0.79x	0.79x	0.79x	0.78x	0.79x	0.79x	0.76x	0.75x	0.75x	0.75x	0.75x	0.73x	0.71x	0.70x	0.70x	0.70x	0.68x	0.68x	0.69x	0.70x	0.70x
Debt/Total Capitalization	0.30x	0.28x	0.28x	0.28x	0.27x	0.27x	0.26x	0.26x	0.27x	0.25x	0.25x	0.24x	0.24x	0.24x	0.24x	0.24x	0.23x	0.23x	0.23x	0.23x	0.23x
Inventory & Cash to Debt	3.62x	3.79x	3.86x	3.93x	3.89x	3.89x	4.10x	4.17x	4.05x	4.28x	4.28x	4.53x	4.65x	4.64x	4.69x	4.69x	4.66x	4.78x	4.84x	4.83x	4.83x

Sources: Company Filings, BTIG Research

**Difference between cash at end of period and balance sheet cash is restricted cash.*

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BTIG Covered Companies Mentioned in this Report

Toll Brothers, Inc. (TOL, Neutral, Closing Price: $166.12)

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Appendix: Analyst Certification and Other Important Disclosures

Analyst Certification

I, Ryan Gilbert, hereby certify that the views about the companies and securities discussed in this report are accurately expressed and that I have not received and will not receive direct or indirect compensation in exchange for expressing specific recommendations or views in this report.

Regulatory Disclosures

Ratings Definitions

BTIG LLC's ("BTIG") ratings, effective June 12, 2017, are defined as follows:

BUY – A security which is expected to produce a positive total return of 15% or greater over the 12 months following the recommendation. The BUY rating may be maintained as long as it is deemed appropriate, notwithstanding price fluctuations that would cause the target to fall outside of the 15% return.

SELL – A security which is expected to produce a negative total return of 15% or greater over the next 12 months following the recommendation. The SELL rating may be maintained as long as it is deemed appropriate, notwithstanding price fluctuations that would cause the target to fall outside of the 15% return.

NEUTRAL – A security which is not expected to appreciate or depreciate meaningfully over the next 12 months.

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BTIG must disclose in each research report the percentage of all securities rated by the member to which the member would assign a "buy", "neutral" or "sell" rating. The said ratings are updated on a quarterly basis. BTIG must also disclose the percentage of subject companies within each of these three categories for whom the member has provided investment banking services within the previous twelve months.

Current Rating Distribution (as of February 18, 2026):

Coverage Universe	Count	Percent	Inv. Banking Relationships	Count	Percent
Buy	358	68.2%	Buy	104	29.0%
Neutral	164	31.2%	Neutral	40	24.4%
Sell	3	0.6%	Sell	0	0.0%

For purposes of FINRA ratings distribution rules, BTIG's stock ratings of Buy, Neutral and Sell fall into Buy, Hold and Sell categories, respectively.

Company Valuation and Risk Disclosures

Toll Brothers, Inc. (TOL, Neutral)

Valuation: We value TOL at 1.65x 1Q26 TBVPS of $87.87, based on a 14% forward ROE, 9% COE, and 0.1x structural adjustment. BTIG does not provide price targets on Neutral-rated stocks.
Risks:

Downside risks include:

- Slower-than-expected US GDP growth, potentially reducing housing demand and negatively affecting TOL's business and share price.
- Higher interest rates leading to increased mortgage rates, reducing affordability and dampening demand for TOL's homes.
- Increased competition from national, regional, and alternative housing providers, which may pressure TOL's revenue, margins, and earnings.

- Continued growth in housing inventory across key markets, creating headwinds for demand, pricing, and TOL's sales pace and profitability.
- Unfavorable changes in federal government policies, such as higher tariffs, restrictive immigration, or unsupportive new home production measures, which could challenge TOL's business.

Upside risks include:

- Stronger-than-expected US GDP growth, supporting robust housing market activity and benefiting TOL's business and share price.
- Declining interest rates resulting in lower mortgage rates, greater affordability, and increased demand for TOL's homes.
- Decreased competition in TOL's market segments, supporting higher revenue, margins, and earnings.
- Declining housing inventory boosting market demand, sales pace, and profitability for TOL.
- Favorable federal policy changes, such as lower tariffs, expanded immigration, or supportive new home production measures, positively impacting TOL's operations.

Company–Specific Regulatory Disclosures

BTIG LLC expects to receive or intends to seek compensation for investment banking services in the next 3 months from: Toll Brothers, Inc. (TOL)

Other Disclosures

Additional Information Available Upon Request

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